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JAMB Commerce: The Complete Course

Concepts, worked examples and exercises for the UTME

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Chapter 1: Nature and Scope of Commerce, and Occupations

Every morning, millions of Nigerians take part in an enormous and largely invisible system. A baker in Ibadan buys flour that was milled in Lagos from wheat grown in another continent; a trader at Kano's Kurmi Market sells groundnut oil to a restaurant owner from Abuja; a student in Enugu tops up her phone with airtime that was sold by an agent on the roadside. None of these people grew, made and sold everything for themselves. Each depends on a chain of other people who produce, buy, sell, move, store, finance and insure goods and services. The study of that chain is the study of **commerce**.

This opening chapter establishes the vocabulary and the logic on which the remaining nine chapters are built. We begin with the basic idea of human wants and how they are satisfied, move on to the definition and scope of commerce, trace its history from barter to modern money, examine the relationship between commerce, industry and trade, and finish with the different kinds of occupation by which people earn a living. Questions on definitions and classification are among the most predictable in the UTME, so the chapter pays careful attention to precise wording.

1.1 Human wants and the need for commerce

Human beings have **wants**: things they desire in order to live, to be comfortable or to enjoy life. Some wants are essential for survival, such as food, clothing and shelter. Others are comforts, such as a refrigerator or a generator, and others are luxuries, such as a luxury car or an expensive wristwatch. Wants are, for practical purposes, unlimited. As soon as one is satisfied, another takes its place; a person who has bought a bicycle begins to want a motorcycle, and one who owns a motorcycle begins to want a car.

The **resources** available to satisfy wants are, by contrast, limited. A family has only so much money, a country has only so much land, oil and labour. This gap between unlimited wants and limited means is the basic economic problem of scarcity, and it forces people to make choices. The activities that provide the goods and services needed to satisfy wants are called **production**, and the activities that bring those goods and services to the people who want them are called **distribution**. Commerce is concerned mainly with the second of these.

Goods and services that satisfy human wants may be classified in several ways:

- **Consumer goods** are goods bought for personal use, such as rice, shoes and textbooks. They may be *durable* (lasting a long time, like a television) or *non-durable* (used up quickly, like bread).
- **Producer goods** (also called capital goods) are used to make other goods, such as lathes, tractors, grinding machines and the oven in a bakery.
- **Services** are intangible: they cannot be touched or stored. Examples are banking, teaching, haircutting, transport and medical care.

Because no person can produce everything that he or she wants, people specialise in what they do best and exchange the surplus with others. This idea, called the **division of labour** or **specialisation**, increases total output, but it creates a new problem: the goods are in the hands of the producers, while the people who want them are scattered over towns, states and countries. The solution to that problem is commerce.

1.2 Meaning and scope of commerce

Commerce may be defined as the whole body of activities concerned with the exchange of goods and services, including all the services and arrangements that facilitate that exchange, so that goods move from the producer to the final consumer at the right place, in the right quantity, at the right time and at an acceptable price. Put more simply, commerce is trade together with the aids to trade.

Commerce has two broad components:

1. **Trade**, which is the actual buying and selling of goods and services. Trade includes the activities of wholesalers, retailers, importers, exporters and agents.
2. **Aids to trade** (also called auxiliary services), which are the supporting services that remove the obstacles to trade. These are banking, insurance, transportation, warehousing, communication and advertising.

Each aid to trade removes a particular obstacle, and examiners often ask candidates to match them. The pairing is worth memorising.

Obstacle to exchange	Aid to trade that removes it
Distance between producer and consumer (the problem of place)	Transport
Time lag between production and consumption (the problem of time)	Warehousing
Lack of money, or the inconvenience of paying and receiving it	Banking
Risk of loss through fire, theft, accident or death	Insurance
Ignorance of what is available, where and at what price (the problem of knowledge)	Advertising and communication
The difficulty of exchanging between people who do not know one another	Middlemen, such as wholesalers, retailers and agents
Language, distance and exchange-rate difficulties between countries	International trade facilities, such as customs agents, foreign-exchange markets and shipping

Key point. Commerce = Trade + Aids to trade. Trade is the core activity of buying and selling; the aids to trade are banking, insurance, transport, warehousing, communication and advertising. Commerce is not the same as production. Production creates goods; commerce distributes them.

Importance of commerce

Commerce is important to individuals, firms and the nation in many ways. It makes a wide variety of goods available, since a consumer in Port Harcourt can buy tomatoes grown in Kaduna and cloth woven in Kano. It supports specialisation by guaranteeing a market for what producers make. It creates employment, not only for traders but for drivers, clerks, bankers, insurers, warehouse keepers and advertisers. It provides income to the government in the form of taxes, import duties and licence fees. It encourages the growth of industry by linking factories to their markets and their suppliers of raw materials. It raises the standard of living by bringing new and better goods within reach. Finally, in the international arena, it promotes understanding and interdependence between countries.

Limitations and criticisms

Commerce is not without its drawbacks. Because the goods pass through many middlemen, each adding a margin, the final price may be much higher than the producer's price. Commerce can encourage the sale of harmful or substandard goods, such as fake drugs, and it can lead to hoarding and artificial scarcity. Heavy advertising can persuade people to buy what they do not need. A country that imports too heavily may damage its own industries. These are reasons why governments regulate trade and protect consumers, a theme developed fully in Chapter 9.

1.3 The development of commerce

To understand modern commerce it helps to know how it grew. The story moves through a series of stages, each solving the problems of the one before.

Subsistence economy

In the earliest societies each family produced only what it consumed: it hunted, fished, farmed and built its own shelter. There was no exchange because there was no surplus. This is called a **subsistence economy**, and a few remote communities still approach it

today. Its limitation is obvious: the standard of living is low because no one can specialise.

Barter

As families began to specialise, a hunter might have meat but need yams, while a farmer had yams but needed meat. They would exchange directly. **Barter** is the direct exchange of goods and services for other goods and services without the use of money. Barter survived for centuries and still occurs in rural markets in Nigeria, where a farmer may trade a bag of maize for palm oil.

Barter has serious disadvantages:

- **Double coincidence of wants.** A trader must find someone who both has what he wants and wants what he has. A man with a goat who wants cloth must find a cloth owner who happens to want a goat.
- **Lack of a common measure of value.** There is no standard way to say how many yams equal a goat, so every transaction involves long haggling.
- **Indivisibility of some goods.** A goat cannot be divided to buy a small quantity of salt.
- **Difficulty of storing wealth.** Livestock may die and crops may rot, so there is no safe way to save value for the future.
- **Difficulty of making deferred payments.** It is hard to agree on what will be repaid in the future.

Commodity money and metallic money

To overcome these problems, societies began to use a particular commodity as a generally accepted medium of exchange. In West Africa such commodities included cowrie shells, brass rods, manilas (horseshoe-shaped metal bracelets used in the old Calabar and Niger Delta trade), salt, cloth and tobacco. Elsewhere, cattle, beads and furs played the same role. These forms of money solved the double-coincidence problem, but many were bulky, perishable or hard to divide, and their supply could not easily be controlled.

Later, precious metals such as gold and silver were used, first by weight and then in the form of stamped coins. Metals are durable, portable, divisible and scarce, which made them far better than shells or cattle. The next advance was paper money, which began as receipts issued by goldsmiths and bankers for gold deposited with them. These were so convenient that people used the receipts themselves to pay for goods. Eventually governments took over their issue, and notes became legal tender.

Modern money

Today most money exists as **bank deposits** and is moved by cheque, card, transfer and mobile app. In Nigeria the naira, introduced in 1973 to replace the Nigerian pound, is the legal tender, issued by the Central Bank of Nigeria. Electronic channels such as bank transfers, USSD codes and mobile wallets now account for a large share of payments.

Functions of money

Money is anything that is generally accepted in payment for goods and services and in settlement of debts. It performs four principal functions:

1. **Medium of exchange.** It is accepted in return for goods and services, which removes the need for double coincidence of wants.
2. **Measure (unit) of value.** It expresses the worth of everything in a common unit, so that prices can be compared.
3. **Store of value.** Money can be saved and used later, although inflation reduces its purchasing power over time.
4. **Standard of deferred payment.** Debts and future obligations, such as loans and rent, can be stated in money.

For something to serve well as money it should be generally acceptable, durable, portable, divisible, homogeneous (units alike), stable in value, difficult to counterfeit and limited in supply.

Stages in the growth of trade

Parallel to the development of money, trade itself developed from local exchange in village markets, to long-distance trade by caravan and canoe, to regional trade and finally to world trade. In West Africa, the trans-Saharan trade carried gold, kola nuts, slaves and ivory northwards, and salt, cloth and horses southwards, linking the Hausa city-states, Kanem-Bornu and the Sahel with North Africa. Along the coast, the Niger Delta states traded palm oil and later other produce with European merchants. Today, container ships, aircraft and the internet make it possible to conclude and deliver a transaction between continents within days.

1.4 Commerce, trade, industry and services

It is helpful to distinguish clearly between several related terms.

- **Industry** covers all activities concerned with producing or processing goods and with extracting natural resources. It is divided into extractive, manufacturing, construction and, sometimes, the generation of power.
- **Commerce** covers trade and the aids to trade, as defined above.
- **Direct services** are services supplied directly to consumers, such as those of a doctor, a lawyer, a teacher, a hairdresser or a musician.

These activities are linked. Industry produces what commerce distributes; commerce supplies industry with raw materials and sells its products; and direct services support them both. Economists describe the ordering of production in three stages: **primary** (extraction of natural resources), **secondary** (manufacturing and construction) and **tertiary** (services, including commerce).

Branches of industry

Extractive industries take raw materials directly from nature. These include farming, fishing, forestry, mining, quarrying and oil drilling. A cocoa farmer in Ondo and an oil worker in Bayelsa both belong here.

Manufacturing industries convert raw materials into finished or semi-finished products. They are of two kinds. *Analytical* (or processing) industries break down a raw material into several products, as a petroleum refinery does. *Synthetic* industries combine several materials to make one product, as a cement factory does. Some industries are *assembly* industries, putting together manufactured parts, as in the assembly of vehicles or electronic appliances. *Fabricating* industries change the shape or form of a material, such as a furniture factory working with wood.

Construction industries build roads, houses, bridges, dams and factories.

When a business is classified, the key question is what its main activity is. A bakery that mixes flour and bakes bread is a manufacturing business; the supermarket that sells that bread is a commercial business; and the van company that delivers the bread belongs to the transport service.

> **Key point.** Industry makes or extracts goods (primary and secondary production); commerce moves and sells them (tertiary production); direct services satisfy personal wants directly. The three together make up the whole of economic activity.

1.5 Occupations

An **occupation** is any activity that a person engages in regularly in order to earn a living. Another word often used is *vocation* or *job*. Occupations are conventionally grouped into three classes: industrial, commercial and service occupations. A fourth category, the professions, is usually treated within service occupations.

Industrial occupations

These are concerned with the production of goods. They include:

- **Extractive occupations**: farming, fishing, hunting, lumbering, mining and oil exploration.

- **Manufacturing occupations**: textile, food processing, brewing, cement making, steel making and the like.
- **Construction occupations**: building, bricklaying, road making, engineering and carpentry.

Commercial occupations

These deal with the distribution of goods and the provision of the aids to trade. They include wholesaling, retailing, importing, exporting, agency, banking, insurance, transport, warehousing, advertising and communication. A cloth seller at Balogun Market in Lagos, a bank clerk and an insurance broker all follow commercial occupations.

Direct service occupations

These supply services directly to individuals. They are divided into:

- **Professional services**: doctors, lawyers, accountants, architects, engineers, teachers and pharmacists. Professionals normally need long training, are bound by a code of ethics and are regulated by professional bodies, such as the Nigerian Bar Association and the Institute of Chartered Accountants of Nigeria (ICAN).
- **Personal services**: hairdressers, tailors, barbers, cooks, drivers, gardeners and domestic staff.
- **Public services**: civil servants, police officers, soldiers, firefighters and other persons employed by government.
- **Entertainment and recreational services**: footballers, musicians, actors, comedians and film makers (for instance in Nollywood).

Formal and informal employment

Occupations can also be classified by how they are organised. **Paid employment** means working for someone else and receiving wages or salary. **Self-employment** means working for oneself and earning profit; examples are the shop owner, the farmer on his own land and the mechanic who owns a workshop. The **informal sector**

comprises small unregistered businesses, often with few workers and little capital, such as roadside traders, vulcanisers and tailors operating from a kiosk. In Nigeria this sector employs a very large share of the labour force.

Factors affecting the choice of occupation

People do not choose occupations at random. The main influences are:

- **Qualification and skill**: one cannot be an engineer without the right education.
- **Interest and aptitude**: natural talent and liking for the job.
- **Income and prospects**: the salary and the chance of promotion.
- **Working conditions**: hours, safety, location and security of tenure.
- **Availability**: jobs may exist only in certain towns or industries.
- **Family background, culture and religion**: many people inherit their parents' trade, as in the traditional dyeing at Kofar Mata in Kano or blacksmithing in Ilorin.
- **Capital required**: starting a trucking business needs far more money than starting as a hawker.

1.6 The nature of services and the role of the entrepreneur

Services differ from goods in four ways. They are *intangible*, meaning that they cannot be seen or touched. They are *inseparable* from the provider, since the haircut is produced as it is consumed. They are *perishable*, because an empty seat on a bus or an unused hospital bed cannot be stored for later. They are *variable*, because the quality depends on who provides them and when.

The person who organises the other factors of production and takes the risk of the business is the **entrepreneur**. He or she identifies an opportunity, raises capital, hires labour, arranges for raw materials and bears the loss if the venture fails. The reward of the entrepreneur is **profit**. The four factors of production and their rewards are:

Factor	Meaning	Reward
Land	All natural resources, including soil, water, forests and minerals	Rent
Labour	Human physical and mental effort	Wages or salaries
Capital	Man-made aids to production, such as machines, buildings and money for investment	Interest
Entrepreneur	The organiser who takes the risk	Profit

1.7 Production, productivity and the chain of distribution

The word **production** in economics means the creation of utility, that is, the making of goods and services more useful to people. It takes several forms. *Form utility* is created when a raw material is changed into a finished article, as when cocoa beans become chocolate. *Place utility* is created by moving goods to where they are wanted. *Time utility* is created by storing goods until they are wanted. *Possession utility* is created by transferring ownership through sale. The last three are the work of commerce.

Raw materials normally pass through a **chain of distribution**. A common chain is Producer → Wholesaler → Retailer → Consumer. Each link adds a service and a margin. The producer makes the goods, the wholesaler buys in bulk and stores them, the retailer sells small quantities to the consumer. The details of this chain, and the ways in which it can be shortened, are discussed in the next chapter.

1.8 Worked examples

WORKED EXAMPLE 1.1

Classify each of the following as industrial, commercial or direct service occupation: (a) a cocoa farmer in Ondo, (b) a bank cashier in Ibadan, (c) a medical doctor, (d) a cement factory worker in Obajana, (e) a lorry driver who transports yams from Benue to Lagos.

Solution: (a) The cocoa farmer extracts produce from the land, so the occupation is industrial (extractive). (b) Banking is an aid to trade, so it is commercial. (c) The doctor provides a professional service directly to patients, so it is a direct service occupation. (d) Manufacturing cement is industrial (manufacturing). (e) Transport is an aid to trade, so it is commercial.

WORKED EXAMPLE 1.2

Chukwuma has two bags of rice. He wants a pair of shoes but the shoemaker wants a goat, not rice. Name the problem and explain how money solves it.

Solution: This is the problem of the *double coincidence of wants* that is typical of barter. Chukwuma and the shoemaker cannot trade because what Chukwuma offers is not what the shoemaker wants. With money, Chukwuma can sell the rice to anyone for cash, and use the cash to buy the shoes. Money therefore acts as a medium of exchange and the two parties need not want each other's goods.

WORKED EXAMPLE 1.3

A man buys cement from a factory and sells it to builders. Another man makes bread and sells it in his own shop. Another man owns a lorry and hires it out to carry goods. State which of these is directly engaged in trade, which in manufacturing and which in an aid to trade.

Solution: The first man is engaged in trade (buying and selling). The second man is manufacturing (making bread) and also trading (selling it), so his business is both manufacturing and retailing. The third man is providing transport, which is an aid to trade.

WORKED EXAMPLE 1.4

Match each obstacle with the aid to trade that removes it: (i) goods are produced in Kano but wanted in Calabar, (ii) tomatoes are harvested in a few months but eaten all year, (iii) a shop owner fears that fire may destroy his stock, (iv) consumers do not know that a new brand of soap has been introduced.

Solution: (i) distance, removed by transport; (ii) the time gap, removed by warehousing (and preservation); (iii) risk, removed by insurance; (iv) lack of knowledge, removed by advertising.

WORKED EXAMPLE 1.5

Identify the factor of production and its reward: (a) Mr Bello rents out his plot of farmland; (b) Mrs Okeke lends ₦2,000,000 to a business and receives ₦200,000 a year; (c) a mason is paid ₦8,000 a day; (d) an entrepreneur takes what is left after paying all costs.

Solution: (a) land, rent; (b) capital, interest; (c) labour, wages; (d) entrepreneur, profit.

Exercise 1.1

1. Which of the following is NOT an aid to trade? (A) Banking (B) Insurance (C) Mining (D) Warehousing
2. The direct exchange of goods for goods without money is (A) hire purchase (B) barter (C) credit (D) auction.
3. The main problem of barter is (A) too much money (B) double coincidence of wants (C) too many buyers (D) high taxes.
4. A person who organises the factors of production and takes risks is a(n) (A) employee (B) landlord (C) entrepreneur (D) consumer.
5. Which factor of production earns interest as its reward?
6. Which aid to trade overcomes the problem of time between production and consumption?
7. List four functions of money.
8. Classify as primary, secondary or tertiary: (a) crude oil drilling, (b) refining petrol, (c) selling petrol at a filling station.
9. Name three characteristics of a good form of money.
10. Distinguish between commerce and industry in not more than three lines.
11. A doctor, a bank clerk, a bricklayer and a trader are classified under which kinds of occupation respectively?
12. Give two factors that influence a person's choice of occupation.

Answers to Exercise 1.1

1. (C). Mining is an extractive industrial activity, not an aid to trade.
2. (B). Barter is the direct exchange of goods and services.
3. (B). Barter requires a double coincidence of wants.
4. (C). The entrepreneur organises production and bears risk.
5. Capital; interest is the reward for capital.

6. Warehousing, which stores goods until they are needed.
7. Medium of exchange, measure of value, store of value and standard of deferred payment.
8. (a) primary; (b) secondary; (c) tertiary.
9. Any three of: general acceptability, durability, portability, divisibility, stability of value, scarcity, homogeneity.
10. Industry produces or extracts goods; commerce distributes them through trade and aids to trade such as transport, banking and insurance.
11. Direct (professional) service, commercial, industrial (construction), commercial.
12. Any two of: qualification and skill, interest, income, working conditions, capital required, family background.

Chapter summary

- Human wants are unlimited, resources are limited, and exchange links producers and consumers.
- Commerce consists of trade (buying and selling) and aids to trade (banking, insurance, transport, warehousing, communication and advertising).
- Each aid to trade removes a specific obstacle: transport removes distance, warehousing removes time gaps, banking removes problems of payment, insurance removes risk, and advertising removes lack of knowledge.
- Trade developed from subsistence to barter, then commodity money, metallic money, paper money and electronic money. Money acts as medium of exchange, measure of value, store of value and standard of deferred payment.
- Industry (extractive, manufacturing, construction) produces goods; commerce distributes them; direct services satisfy wants directly.
- Occupations are industrial, commercial or service, and may be paid employment or self-employment, formal or informal.

- The four factors of production are land (rent), labour (wages), capital (interest) and the entrepreneur (profit).
- Commerce creates place, time and possession utility, and lifts living standards, but can raise prices through middlemen and encourage the sale of harmful goods unless regulated.

Chapter 2: Trade, Wholesale and Retail Distribution

Chapter 1 defined commerce as trade together with the aids to trade. In this chapter we examine trade itself: how it is classified, who carries it out, and how goods travel from the factory gate or the farm to the person who finally uses them. The people who stand between producer and consumer are called **middlemen** or **intermediaries**, and the two most important are the wholesaler and the retailer. Much of the UTME syllabus on trade is concerned with what these two do, how they differ, which types of each exist, and how they earn their income.

The chapter also introduces the arithmetic of trading: mark-up, margin, trade discount and rate of stock turn. These calculations are simple but they are tested regularly, and they reward a candidate who understands the difference between a percentage of cost and a percentage of selling price.

2.1 Classification of trade

Trade is the buying and selling of goods and services for profit. It may be classified in several ways, and a good candidate should be able to move easily between the classifications.

Home trade and foreign trade

Home trade (also called internal or domestic trade) is the buying and selling of goods and services within the boundaries of one country. A Kano trader who sells onions to a buyer in Port Harcourt is engaged in home trade, even though the two cities are more than a thousand kilometres apart. **Foreign trade** (external or international trade) is the exchange of goods and services between persons or firms in different countries. It includes imports, exports and re-exports, and is studied in Chapter 10.

Wholesale trade and retail trade

Home trade is itself divided into two levels. **Wholesale trade** is the buying of goods in large quantities from producers (or from importers) and the selling of them, in smaller but still substantial quantities, to retailers, institutions and other businesses. **Retail trade** is the buying of goods from wholesalers or producers and the selling of them in small quantities to the final consumer for personal use.

> **Key point.** The test of whether a sale is wholesale or retail is not the size of the shop but the identity of the buyer and the purpose of the purchase. A sale to someone who will resell the goods is wholesale. A sale to someone who will use the goods is retail.

Other terms

- **Entrepôt trade** is the importation of goods for the purpose of re-exporting them, often after storing, sorting or repacking. Historically Lagos and some ports in West Africa handled such trade for landlocked neighbours.
- **Visible trade** is trade in physical goods, such as cocoa, crude oil and machinery. **Invisible trade** is trade in services, such as shipping, insurance and tourism.
- **Bilateral trade** is trade between two countries, while **multilateral trade** involves many countries.

2.2 Wholesale trade

A **wholesaler** is a middleman who buys goods in bulk from manufacturers, farmers or importers and sells to retailers and other users in smaller bulk lots. Typical wholesale centres in Nigeria include the textile section of Balogun and Idumota in Lagos, Ariaria International Market in Aba (famous for shoes and leather goods), the Onitsha main market for general merchandise, and the grain and tuber markets of the north. The wholesaler usually deals in a particular class of goods, takes title to them (that is, becomes the owner), and carries the risk of holding them.

Functions of the wholesaler to the producer

- **Bulk purchase.** The wholesaler buys large quantities, which allows the manufacturer to plan production and to sell without dealing with thousands of small shopkeepers.
- **Warehousing.** The wholesaler stores the goods, so the manufacturer is relieved of the cost of holding finished stock.
- **Financing.** By paying promptly for large orders, the wholesaler gives the producer working capital for the next production run.
- **Risk bearing.** Once the wholesaler has bought the goods, the risks of price fall, damage, theft and spoilage pass to him.
- **Market information.** The wholesaler is in daily contact with retailers and reports what customers are asking for, which styles sell and what prices competitors charge.
- **Reduction of transactions.** If five manufacturers each had to deal with twenty retailers directly there would be one hundred separate contacts. With one wholesaler in the middle, there are only twenty-five (five plus twenty).

Functions of the wholesaler to the retailer

- **Breaking bulk.** The wholesaler buys by the lorry-load and sells by the carton, bag or dozen, so a small shopkeeper can obtain exactly the quantity that he can afford and sell.
- **Assembling a variety.** A retailer can obtain goods from many manufacturers at a single place.
- **Credit.** Many wholesalers allow regular customers to pay after some days or weeks, which helps small retailers with limited capital.
- **Advice and information.** The wholesaler informs retailers about new products, price changes and expected shortages.
- **Delivery and prompt supply.** The retailer does not need to travel to the factory for every small replenishment.

- **Grading, packing and branding.** Some wholesalers sort goods by quality or repack them into sizes suitable for retail sale.

Types of wholesaler

- **General wholesalers** stock a wide range of goods, such as provisions, toiletries and stationery.
- **Specialist wholesalers** deal in one line only, for example building materials, cement, pharmaceutical products or fabrics.
- **Cash-and-carry wholesalers** sell for cash only, and the buyer collects and transports the goods. Because they offer no credit and no delivery, their prices are lower.
- **Mobile (van or truck) wholesalers** carry stock in a vehicle and travel round retailers, especially in places that are far from a wholesale centre, selling and delivering at the same time.
- **Merchant wholesalers** buy goods in their own name and so own them; **agent wholesalers** (brokers and commission agents) never own the goods and earn a commission for bringing buyer and seller together.
- **Rack jobbers** supply and stock shelves in supermarkets with certain lines, such as greeting cards or batteries, and are paid for what the shop sells.

2.3 Retail trade

The **retailer** is the last link in the chain of distribution. He or she buys goods in the quantities that customers want and sells them in small units: a single tin of tomato paste, a loaf of bread, a metre of cloth. The retailer deals directly with the consumer and is therefore the face of the whole chain.

Functions of the retailer

- **Bringing goods close to consumers.** The corner shop, the roadside kiosk and the neighbourhood market make goods available at convenient places and times.

- **Breaking bulk further.** The retailer divides a carton of sachets or a bag of rice into the small quantities that households buy daily.
- **Offering a selection.** Customers can compare brands, sizes and prices in one place.
- **Giving credit and personal service.** Many neighbourhood retailers allow trusted customers to pay later. Others offer delivery, repairs, gift wrapping or after-sales service.
- **Advertising and display.** Window and shelf displays introduce products to customers and encourage impulse buying.
- **Providing feedback.** Retailers know what customers like and dislike and pass this information to wholesalers and manufacturers.
- **Risk bearing and storage.** The retailer holds stock, and bears the risk of theft, spoilage, damage and goods that will not sell.

Types of retailer

Retailers are usually divided into two groups, according to whether they trade from a fixed place.

Itinerant (mobile) retailers

These retailers have no permanent shop and move to where the customers are.

- **Hawkers and peddlers** carry small goods, such as handkerchiefs, sachet water, phone accessories and snacks, and sell to motorists in traffic jams and passengers in motor parks. They need very little capital.
- **Mobile shops** are vans, trucks or tricycles that carry goods through residential areas, for example the bread van, the ice-cream bicycle or the mobile market truck.
- **Street traders** display goods on tables or mats along pavements. They are not strictly itinerant but are mobile in the sense that they can pack up quickly.

Itinerant traders cost little to set up and can go to the customer, but they have small stock, little security of income, and are often in conflict with local authorities over where they may trade.

Fixed-shop retailers

- **Market stalls and kiosks** are small, cheap, fixed points of sale found in every Nigerian town, such as the provision kiosk or the pepper and tomato stall.
- **Small independent shops**, often owned by one family, deal in a limited range and know their customers personally. Their weakness is limited capital and weaker buying power.
- **Supermarkets** are large self-service shops, selling mainly food and household items, where customers take goods from shelves and pay at a checkout. Examples are the large grocery stores in Lagos, Abuja and Port Harcourt. Their advantages are a wide range, low prices from bulk buying, and convenience; their disadvantages are the high cost of premises and the temptation to over-buy.
- **Hypermarkets** are very large supermarkets with additional lines such as electronics and furniture, usually built on the edge of a city with plenty of parking.
- **Department stores** are large shops divided into departments, each dealing in a different class of goods (clothing, furniture, kitchenware), all under one roof and one management.
- **Multiple (chain) stores** are many branches of one firm, in different towns, selling the same range under the same name and design. Central buying gives them heavy discounts. Examples include chains of pharmacies, bakeries and fuel-station convenience stores.
- **Franchise outlets** are shops run by independent owners (the *franchisee*) who pay a fee for the right to use the name, products and methods of a larger firm (the *franchisor*). Fast-food restaurants and some telecommunication service centres operate in this way.
- **Consumer co-operative societies** are retail shops owned by their customers, who share any profit as a dividend based on purchases.

- **Discount stores** sell at low prices by cutting costs, offering little service and accepting small margins on a large turnover.

Other forms of retail selling

- **Mail-order and catalogue selling** offers goods described in a catalogue or advertisement, ordered by post or telephone, and delivered to the customer.
- **Online (e-commerce) retailing** allows customers to browse a website or an app, pay electronically and receive delivery. Nigerian online marketplaces, and the thousands of traders selling through social media, belong here. The topic is developed in Chapter 10.
- **Vending machines** dispense goods such as bottled water or snacks when payment is inserted.
- **Automated retail and self-checkout** allow customers to scan and pay for goods without a cashier.

> **Key point.** Distinguish carefully: a *department store* has many departments under one roof; a *multiple (chain) store* has many branches in different places; a *supermarket* is defined by self-service; a *franchise* is an arrangement between an owner of a brand and an independent trader.

2.4 Differences between wholesalers and retailers

Feature	Wholesaler	Retailer
Buys from	Manufacturers, farmers, importers	Wholesalers (sometimes producers)
Sells to	Retailers, institutions, other businesses	Final consumers
Quantity handled	Large	Small
Capital required	Large	Small to moderate
Premises	Large warehouse, often away from the shopping area	Shop or stall in a convenient, busy location
Profit per unit	Small margin on each unit	Larger margin on each unit
Advertising and display	Little	Much, to attract passing customers
Contact with consumer	None	Direct

2.5 Channels of distribution

A **channel of distribution** is the route taken by goods as they pass from producer to consumer. Several channels are possible:

1. **Producer → consumer.** This is direct selling, used by farmers at farm gates, tailors, bakers selling at their own shops, and firms that sell online directly to the public. No middleman profit is added, but the producer must perform every distribution task.
2. **Producer → retailer → consumer.** Large retailers, such as supermarkets and chain stores, buy directly from producers, particularly for bulky or perishable goods or where they place very large orders.
3. **Producer → wholesaler → retailer → consumer.** This is the traditional channel for most branded household goods, such as soap, sugar and noodles.

4. **Producer → agent → wholesaler → retailer → consumer.** Used when a manufacturer, especially a foreign one, has no local presence and uses a sole agent or distributor to reach wholesalers.

The choice of channel depends on the nature of the product (perishable goods need short channels), the number and spread of customers, the size of the producer, the cost of each channel, and the amount of control the producer wants over how the goods are presented and priced.

Elimination of the middleman

It is often claimed that "cutting out the middleman" reduces prices. A producer who sells directly may earn more and the customer may pay less, but the services that middlemen provide do not disappear; someone must still store, transport, finance and sell the goods. The producer who bypasses the wholesaler must take on these tasks and the costs that go with them. Elimination works best for large firms that can do the work as cheaply as a wholesaler, for goods that are perishable, expensive or technical, and where the Internet allows direct sales. For small producers, the wholesaler usually remains the cheaper way to reach thousands of retailers.

Arguments for eliminating the wholesaler	Arguments against
Lower prices to the consumer, since one profit margin is removed	The producer must provide storage, transport and credit itself
Producer has closer contact with customers and market trends	The producer must deal with many small orders and many small accounts
Faster delivery and fresher goods	Retailers lose the convenience of buying many brands in one place
Better control of branding and presentation	Producer carries more risk and needs more capital

2.6 The arithmetic of trading

Traders must know how much profit they earn on what they sell. Four tools are essential.

Gross profit, mark-up and margin

The **cost price** (CP) is what the trader pays for the goods. The **selling price** (SP) is what the customer pays. The difference is the **gross profit**:

Gross profit = Selling price − Cost price

There are two ways to express it as a percentage:

- **Mark-up** = (Gross profit ÷ Cost price) × 100. It is based on *cost*.
- **Margin** (gross profit percentage) = (Gross profit ÷ Selling price) × 100. It is based on *sales*.

Because the selling price is larger than the cost price, the margin is always smaller than the mark-up for the same trade. Candidates who confuse the two lose easy marks.

Trade discount

A **trade discount** is a reduction from the list (catalogue) price that a manufacturer or wholesaler allows to a trader who buys for resale. It is a business deduction taken off the invoice, and recognises that the buyer is going to resell and must earn a profit. It is not recorded in the books as an expense. (Cash discount, which rewards prompt payment, is discussed in Chapter 3.)

Rate of stock turnover

The **rate of stock turnover** (or stock turn) shows how many times a trader sells and replaces the average stock in a period. A high turnover means that goods do not sit on the shelves, and the trader can live on a small margin.

Cost of goods sold = Opening stock + Purchases − Closing stock

Average stock = (Opening stock + Closing stock) ÷ 2

Rate of stock turnover = Cost of goods sold ÷ Average stock

The average number of days that stock stays in the shop is 365 divided by the rate of turnover. Perishable goods, such as bread and fresh tomatoes, must turn over very quickly; furniture and jewellery turn over slowly and need a higher margin to make up for it.

WORKED EXAMPLE 2.1

Mrs Adebayo buys a generator for N40,000 and sells it for N50,000. Calculate (a) the gross profit, (b) the mark-up and (c) the margin.

Solution: (a) Gross profit = 50,000 − 40,000 = N10,000. (b) Mark-up = (10,000 ÷ 40,000) × 100 = 25%. (c) Margin = (10,000 ÷ 50,000) × 100 = 20%. The same profit is 25% of cost but 20% of selling price.

WORKED EXAMPLE 2.2

A shopkeeper in Ibadan buys a bag of rice for N38,500 and adds a mark-up of 30%. What is the selling price?

Solution: Gross profit = 30% of 38,500 = 0.30 × 38,500 = N11,550. Selling price = 38,500 + 11,550 = N50,050. Equivalent method: SP = 38,500 × 1.30 = N50,050.

WORKED EXAMPLE 2.3

A trader sells a pair of shoes for N15,000 and earns a margin of 20%. Find the cost price and the mark-up.

Solution: Margin of 20% on selling price means gross profit = 0.20 × 15,000 = N3,000. Cost price = 15,000 − 3,000 = N12,000. Mark-up = (3,000 ÷ 12,000) × 100 = 25%. Note that a 20% margin is the same as a 25% mark-up.

WORKED EXAMPLE 2.4

A manufacturer lists a sewing machine at N25,000 and allows a trade discount of 20% to retailers. A retailer in Kano orders 50 machines. How much does the retailer pay?

Solution: Discount per machine = 20% of 25,000 = N5,000. Price after discount = 25,000 − 5,000 = N20,000. Total = 50 × 20,000 = N1,000,000.

WORKED EXAMPLE 2.5

A supermarket began the year with stock worth N120,000 and ended it with stock worth N180,000. During the year it purchased goods worth N1,350,000. Calculate (a) the cost of goods sold, (b) the average stock, (c) the rate of stock turnover, and (d) the average number of days stock remained unsold (to one decimal place).

Solution: (a) Cost of goods sold = 120,000 + 1,350,000 − 180,000 = N1,290,000. (b) Average stock = (120,000 + 180,000) ÷ 2 = N150,000. (c) Rate of turnover = 1,290,000 ÷ 150,000 = 8.6 times. (d) Days = 365 ÷ 8.6 = 42.4 days.

WORKED EXAMPLE 2.6

A wholesaler buys 200 bags of cement at N7,200 each and sells them to retailers at N8,100 each. Transport and handling cost N60,000 for the whole consignment. Find the net profit on the transaction.

Solution: Cost = 200 × 7,200 = N1,440,000. Revenue = 200 × 8,100 = N1,620,000. Gross profit = 1,620,000 − 1,440,000 = N180,000. Net profit = 180,000 − 60,000 = N120,000.

2.7 Trends in distribution

Distribution in Nigeria is changing quickly. Self-service shopping has spread from the major cities to medium-sized towns, and large retail chains now sit beside traditional open markets. Mobile phones have made it possible to place orders from wholesalers without travelling, and thousands of small businesses promote and sell goods on social media, using bank transfers or mobile payment apps and dispatch riders for delivery. Manufacturers increasingly appoint *distributors* for particular regions, who combine the work of agents and wholesalers. Problems remain: poor roads that raise costs, unreliable electricity that makes cold storage expensive, and the sale of fake or substandard goods, which the next chapters and Chapter 9 address.

2.8 Practice

Exercise 2.1

1. Define wholesale trade and state three services that the wholesaler gives to the retailer.
2. Distinguish between a department store and a multiple (chain) store.
3. A trader buys goods for N6,000 and sells them for N7,500. Calculate the mark-up and the margin.
4. A retailer buys a television for N24,000 and sets a mark-up of 35%. What is the selling price?
5. An item is sold for N18,000, giving a margin of 25%. Find the cost price.
6. A shop has a cost of goods sold of N840,000 and an average stock of N120,000. Find the rate of stock turnover and the average number of days that stock is held.
7. Opening stock is N90,000, purchases are N610,000 and closing stock is N100,000. Calculate the cost of goods sold, average stock and rate of turnover (correct to one decimal place).

8. A manufacturer allows a 15% trade discount off a list price of N40,000 per unit. How much does a retailer pay for 30 units?
9. Explain why small retailers in Nigerian towns often prefer to buy from wholesalers rather than directly from manufacturers.
10. A retailer buys 200 bags of rice at N45,000 each and sells all of them at N52,000 each. Her expenses for the period are N600,000. Calculate her gross profit and net profit.
11. Which of the following is an example of entrepôt trade: (a) a Nigerian firm selling cocoa to Germany, (b) a port that imports goods in order to re-export them, (c) a farmer selling yams in the village market, (d) a supermarket selling imported rice?

Answers to Exercise 2.1

1. Wholesale trade is the buying of goods in bulk and selling them in smaller bulk lots to retailers and other business users. Services include breaking bulk, granting credit, supplying a variety of goods, delivery and giving market information.
2. A department store has many departments under one roof in one location; a multiple store is a chain of branches of the same firm in different locations.
3. Profit = 1,500. Mark-up = 1,500 ÷ 6,000 × 100 = 25%. Margin = 1,500 ÷ 7,500 × 100 = 20%.
4. Profit = 0.35 × 24,000 = 8,400. SP = 24,000 + 8,400 = N32,400.
5. Gross profit = 0.25 × 18,000 = 4,500. Cost price = 18,000 − 4,500 = N13,500.
6. Rate = 840,000 ÷ 120,000 = 7 times. Days = 365 ÷ 7 = 52.1 days.
7. Cost of goods sold = 90,000 + 610,000 − 100,000 = N600,000. Average stock = (90,000 + 100,000) ÷ 2 = N95,000. Rate = 600,000 ÷ 95,000 = 6.3 times.
8. Price per unit = 40,000 × 0.85 = 34,000. Total = 30 × 34,000 = N1,020,000.
9. Wholesalers break bulk into small quantities the retailer can afford, give credit, stock many brands in one place and are located nearby, so the retailer saves transport cost and time and carries less stock.

10. Gross profit = 200 × (52,000 − 45,000) = 200 × 7,000 = N1,400,000. Net profit = 1,400,000 − 600,000 = N800,000.

11. (b). Entrepôt trade is importing goods in order to re-export them.

2.9 Further points for the examination

Examiners frequently ask why wholesalers continue to exist in an age of direct selling. The best answer is that distribution is a set of tasks (storage, financing, risk bearing, bulk breaking, market information) that must be performed by somebody. The wholesaler is simply the specialist who does them for many producers at the same time, and so does them more cheaply than each producer could separately. The wholesaler is most vulnerable where producers are large and can combine distribution with their own warehouses, and where retailers are large enough to buy direct. In practice, most Nigerian markets contain both: the supermarket chain that buys directly from the manufacturer, and the small kiosk that buys a carton at a time from the wholesaler at the next market.

A second recurring theme is the choice between *extensive* and *selective* distribution. A maker of everyday items, such as sachet water or biscuits, wants them in every kiosk and so uses long channels with many wholesalers. A maker of expensive or technical goods, such as generators or luxury cars, prefers a few authorised dealers who can demonstrate the product, offer repairs and protect the brand's reputation. The product, the price and the customer decide the channel.

Finally, remember what makes a retailer successful. Location is crucial, since customers will not travel far for everyday goods. Stock control matters, since too little stock loses sales and too much ties up money and risks spoilage. Pricing must cover the cost of goods and the running expenses and still leave profit, and customer service, including honesty about quality and prices, builds the loyalty on which small retailers depend.

Chapter summary

- Trade is the buying and selling of goods and services; it is home trade within a country and foreign trade between countries, and home trade is divided into wholesale and retail.
- The wholesaler buys in bulk from producers and sells to retailers; his functions include breaking bulk, warehousing, granting credit, bearing risk and giving market information.
- The retailer sells in small quantities to final consumers, and is the last link in the chain of distribution.
- Retailers may be itinerant (hawkers, mobile shops) or fixed (stalls, small shops, supermarkets, department stores, multiple stores, franchises, co-operatives), or may sell by mail order, online or through vending machines.
- Common channels: producer to consumer; producer to retailer to consumer; producer to wholesaler to retailer to consumer; and via agents. The choice depends on the product, market and cost.
- Eliminating the middleman does not remove his functions; someone must still perform them.
- Mark-up is gross profit as a percentage of cost; margin is gross profit as a percentage of selling price. A 20% margin equals a 25% mark-up.
- Trade discount is deducted from the list price for traders. Rate of stock turnover = cost of goods sold ÷ average stock.

Chapter 3: Business Documents and Terms of Trade

When a market woman sells a tin of milk to a neighbour and takes the money, the transaction is over in seconds and no paper is needed. Business between firms is different. A supermarket in Abuja ordering five hundred cartons of noodles from a distributor in Kano is dealing with large sums of money, with goods that will take days to arrive, and with people who may never meet. Each side needs to know exactly what was agreed, what was delivered and what is still owed. **Business documents** supply that knowledge. They are the written record of a transaction, they serve as legal evidence in the event of a dispute, and they form the basis of the firm's accounts.

This chapter follows a single credit transaction from the first enquiry to the final payment, describing each document and who sends it. It then explains the terms on which goods are sold, including discounts, delivery arrangements and credit periods, and shows how the documents are completed in calculations that are often tested in the UTME.

3.1 The purposes of business documents

- **They provide proof** of what was ordered, supplied and paid for, which protects both buyer and seller.
- **They avoid misunderstanding** about quantity, quality, price, delivery date and payment terms.
- **They supply information** for bookkeeping, stock control and tax.
- **They help to settle disputes**, because a signed document can be produced in court or before an arbitrator.
- **They authorise action**: a purchase order authorises the supplier to deliver, and a delivery note authorises the buyer to accept.

3.2 The sequence of documents in a home trade transaction

A normal credit sale between two businesses passes through the following stages. In small firms, some of the stages are combined or conducted by telephone, but the documents still exist in some form, perhaps on WhatsApp or email.

1. Letter (or message) of enquiry

The buyer asks one or more suppliers for information about the goods: prices, quality, quantities available, discounts, delivery time and terms of payment. An enquiry does not oblige the buyer to purchase anything. A buyer who wants to compare prices sends enquiries to several suppliers.

2. Quotation, estimate, catalogue and price list

The seller replies with a **quotation**, which states the price at which the seller is willing to supply specified goods under stated terms, usually valid for a given period. An **estimate** is an approximate price for work that is hard to cost exactly, such as building repairs, and may change. A **catalogue** and a **price list** describe the seller's range and prices to any customer. A **tender** is a formal written offer to supply goods or carry out a job at a stated price, submitted in response to a public invitation; government ministries, universities and large companies often buy in this way, and the lowest or best tender is usually accepted. A quotation, once accepted, can form a contract.

3. Order (purchase order)

If the buyer accepts the terms, he sends a **purchase order** (or order form). It states the goods wanted, quantity, agreed price, delivery address, delivery date and terms. The order is a legal offer to buy. It carries a number, so that later documents can refer to it. A firm that buys regularly keeps a numbered order book, and the copies are retained for checking against deliveries and invoices.

4. Pro-forma invoice (where used)

A **pro-forma invoice** is a preliminary bill sent *before* the goods are dispatched. It is not a demand for payment on credit but a request that the buyer pay first. Sellers use it when dealing with a new or doubtful customer, when making goods to order, and in importation, where the importer uses the pro-forma invoice to apply for foreign exchange and to open a letter of credit (see Chapter 10). It is not recorded in the books as a sale.

5. Advice note and delivery note

An **advice note** is sent ahead of the goods to tell the buyer that they have been dispatched, with details of the consignment and the expected time of arrival, so that the buyer can prepare to receive them. The **delivery note** travels with the goods. The buyer's storekeeper checks the goods against it, notes any shortages or damage, and signs one copy, which the driver returns to the seller as proof of delivery. A delivery note usually does not show prices.

6. Invoice

The **invoice** is the seller's bill. It is issued after (or when) the goods are dispatched, and it lists the goods supplied, quantities, unit prices, trade discount, any carriage and VAT, and the total payable, the terms of payment and the date. To the seller it is a record of a credit sale (entered in the sales day book); to the buyer it is a record of a credit purchase (entered in the purchases day book). The invoice is the most important document in trade, and an invoice number appears on all later correspondence about the transaction.

An invoice commonly carries the letters **E. & O.E.**, meaning *errors and omissions excepted*. This reserves the seller's right to correct any mistake found later, which is why the debit note exists (below).

7. Debit note and credit note

After the invoice has been issued, mistakes or returns may call for an adjustment, and the adjustment is made by a new document and not by altering the invoice.

- A **credit note** (usually printed in red) is issued by the *seller* to *reduce* the amount that the buyer owes. It is used when the seller overcharged the buyer, when goods were returned because they were damaged, defective or not as ordered, or when the buyer was short-delivered but had been billed in full.
- A **debit note** is issued by the seller to *increase* the amount owed, usually because the invoice undercharged the buyer or omitted an item. A buyer may also send a debit note to the seller to inform him that he is returning goods or that his account has been debited; in that case it acts as a request for a credit note.

> **Key point.** Credit note: the buyer owes *less* (reduction). Debit note: the buyer owes *more* (increase). Neither is issued to cancel the original invoice, which stays on record as a part of the transaction.

8. Statement of account

Periodically, usually monthly, the seller sends the regular customer a **statement of account**. It summarises all the dealings in the period: the balance at the start, invoices (added), credit notes and payments (subtracted), and the balance now due. It reminds the customer what he owes and lets him check his own records against the seller's.

9. Remittance advice, receipt and cash-register slip

The buyer who pays by cheque or bank transfer may send a **remittance advice**, which tells the seller which invoices are being paid. When payment is received, the seller issues a **receipt**, which is written acknowledgement of payment and is the buyer's legal proof that the debt has been settled. For small cash sales, the till roll or cash-register slip serves as a receipt. Receipts for large sums should be signed and show the date, the amount, what was paid for and the method of payment.

The complete chain

Stage	Document	Sent by	Purpose
1	Enquiry	Buyer	Ask for price and terms
2	Quotation or tender	Seller	Offer to supply at a stated price
3	Purchase order	Buyer	Request to supply stated goods
4	Pro-forma invoice (optional)	Seller	Request for payment before dispatch
5	Advice note and delivery note	Seller	Announce dispatch; prove delivery
6	Invoice	Seller	Bill for goods supplied
7	Credit or debit note	Seller (or buyer)	Correct or adjust the invoice
8	Statement of account	Seller	Summarise the account for the period
9	Remittance advice and receipt	Buyer; seller	Pay; acknowledge payment

3.3 Terms of trade

Terms of trade are the conditions on which the goods are sold. They appear on quotations and invoices. Three groups of terms matter: terms of payment, terms of delivery and terms of discount.

Terms of payment

- **Cash with order (CWO).** The buyer pays when the order is placed. This is the safest term for the seller and is common with new customers and goods made to order.
- **Cash on delivery (COD).** The buyer pays when the goods arrive. The seller has no credit risk, but the buyer must have the money ready.

- **Credit terms.** The buyer receives the goods now and pays later, for example in 30 days. This is written as *net 30*, or *payment within 30 days*. Trade credit is the most common source of short-term finance for businesses.
- **Instalment and hire-purchase terms.** The buyer pays in parts. In hire purchase the buyer uses the goods immediately but does not own them until the last instalment is paid.
- **Sale or return.** The retailer may return unsold goods to the supplier, so the supplier bears the risk of unsold stock.
- **Consignment.** The goods stay the property of the owner (the consignor) while the agent (consignee) tries to sell them for a commission.

Terms of delivery

- **Carriage paid** (or *free delivery*): the seller pays the cost of transport to the buyer's premises, and builds it into the price or absorbs it.
- **Carriage forward** (or *carriage to pay*): the buyer pays the transport cost when the goods arrive.
- **Ex-works, ex-warehouse or ex-store:** the price covers the goods only at the seller's premises; the buyer arranges and pays for collection and transport. This is the term for cash-and-carry wholesalers.
- **Franco** (delivered free): the seller delivers to the buyer's door at no extra charge.

Terms used in international trade, such as FOB and CIF, are explained in Chapter 10.

Terms of discount

Trade discount is a reduction in the list price given to traders who buy for resale; it is deducted on the invoice itself. **Quantity (bulk) discount** is extra reduction for buying large quantities. **Cash discount** is a reduction offered to encourage *prompt* payment. It is stated as, for example, **3/10, net 30**, which means a 3% discount if the invoice is settled within 10 days, otherwise the full amount is due within 30 days. Cash discount

is calculated on the amount of the invoice and only when the buyer actually pays on time; it is a financial charge, recorded in the accounts as *discount allowed* by the seller and *discount received* by the buyer.

Feature	Trade discount	Cash discount
Purpose	Allows retailer a profit margin; rewards large buyers	Encourages quick payment
Given to	Traders (buyers for resale)	Any customer who pays within the period
Shown where	Deducted on the invoice	Shown as a term, deducted at payment
Depends on	Status or quantity	Time of payment
Recorded in the books?	No; only the net amount is recorded	Yes; discount allowed or received

Value Added Tax on invoices

Value Added Tax (VAT) is a consumption tax charged on most goods and services supplied in Nigeria. The standard rate is 7.5%. A registered business adds VAT to its invoices, collects it from the customer and pays it to the Federal Inland Revenue Service. VAT is calculated on the price *after* trade discount has been deducted. Some items, such as basic food and medical supplies, are exempt.

3.4 Completing an invoice

The order of calculation on an invoice is as follows:

1. Quantity × unit price gives the gross amount.
2. Subtract trade discount, to get the net amount.
3. Add VAT (calculated on the net amount).
4. Add carriage, if the seller is charging it separately.
5. The result is the total payable.

WORKED EXAMPLE 3.1

Ibadan Building Supplies sells 40 bags of cement at N8,000 each to Okonkwo Contractors. A trade discount of 10% is allowed, and VAT at 7.5% is charged. Prepare the amounts for the invoice.

Solution: Gross amount = 40 × 8,000 = N320,000. Trade discount = 10% × 320,000 = N32,000. Net amount = 320,000 − 32,000 = N288,000. VAT = 7.5% × 288,000 = 0.075 × 288,000 = N21,600. Total payable = 288,000 + 21,600 = N309,600.

WORKED EXAMPLE 3.2

An invoice for N200,000 carries terms 3/10, net 30. How much is payable if the buyer pays (a) on the eighth day, (b) on the twenty-fifth day?

Solution: (a) Payment on the eighth day is within 10 days, so the discount applies. Discount = 3% × 200,000 = N6,000. Amount payable = 200,000 − 6,000 = N194,000. (b) The twenty-fifth day is after the discount period but within 30 days, so no discount is allowed. Amount payable = N200,000.

WORKED EXAMPLE 3.3

Bello Fashions was invoiced for 50 shirts at N3,500 each. Six shirts arrived damaged and were returned. (a) What document should the seller issue, and for how much? (b) How much does Bello Fashions now owe?

Solution: (a) The seller issues a credit note. Value = 6 × 3,500 = N21,000. (b) Original invoice = 50 × 3,500 = N175,000. Amount now owed = 175,000 − 21,000 = N154,000.

WORKED EXAMPLE 3.4

A seller invoiced 120 units at N450 each but should have charged N540 each. (a) What document corrects the error? (b) What is its value?

Solution: (a) A debit note, because the buyer was undercharged and now owes more. (b) Invoice amount = 120 × 450 = N54,000. Correct amount = 120 × 540 = N64,800. Debit note = 64,800 − 54,000 = N10,800.

WORKED EXAMPLE 3.5

On 1 March, a customer owed a supplier N85,000. During March the supplier sent invoices for N120,000, issued a credit note for N15,000, and received a payment of N85,000. Prepare the closing balance for the statement of account at 31 March.

Solution: Opening balance N85,000. Add invoices: 85,000 + 120,000 = 205,000. Subtract credit note: 205,000 − 15,000 = 190,000. Subtract payment: 190,000 − 85,000 = 105,000. The customer owes N105,000.

WORKED EXAMPLE 3.6 (EXTENSION)

A supplier offers terms 2/10, net 30. What is the approximate annual rate of interest implied by forgoing the discount? (Use 365 days.)

Solution: By paying on day 30 instead of day 10, the buyer keeps the money for 20 more days but pays 2 extra for every 98 effectively borrowed (100 − 2). Rate for 20 days = 2 ÷ 98 = 2.04%. Number of 20-day periods in a year = 365 ÷ 20 = 18.25. Annual rate = 2.04% × 18.25 ≈ 37.2%. Taking the discount is therefore usually worthwhile, unless the buyer can only borrow at higher rates than 37%.

3.5 Practical points on documents

Why firms keep copies

Every document has copies, and each copy has a purpose. A typical firm raises an invoice in four copies: the top copy goes to the customer, one goes to the accounts department to be recorded, one goes to the despatch department as authority to release the goods, and one remains in the book. In an electronic accounting system, the same functions are fulfilled by saved records and automatic notifications. The legal requirement to keep records is also a tax one: the tax authorities may inspect a firm's invoices for several years.

Common errors and how to avoid them

- Confusing the delivery note and the invoice. The first lists goods, usually without prices, and is signed on delivery. The second is the bill.
- Confusing a pro-forma invoice with a normal invoice. A pro-forma is a request to pay first and does not create a credit sale entry.
- Applying VAT before deducting trade discount. VAT always follows the discount.
- Applying cash discount when the buyer has paid late.
- Giving a debit note when a credit note is meant. Always ask: does the buyer owe more or less after this document?

Documents in e-commerce

Online sellers issue electronic order confirmations, e-invoices and e-receipts, usually by email or text. The legal force is the same as a paper document, provided that it is clear and can be retained. Many small Nigerian traders now use messaging apps for enquiries and orders, and send a photograph of the transfer slip as proof of payment. Although informal, these are in fact the modern equivalents of the remittance advice and the receipt, and a careful trader keeps them as records.

3.6 Practice

Exercise 3.1

1. List, in the correct order, the documents in a normal credit sale from the buyer's enquiry to the seller's receipt.
2. Which document is sent by a seller to a buyer listing the goods supplied, their prices and the terms of payment?
3. Complete an invoice for 25 generators at N12,000 each, less a trade discount of 20%, plus VAT at 7.5%. State the total payable.
4. An invoice of N150,000 carries terms 2/10, net 30. How much should the buyer pay if he settles on the ninth day?
5. A retailer returns 8 damaged lanterns that were invoiced at N2,250 each. What document is issued and for what amount?
6. A supplier billed 40 units at N175 each instead of N210 each. State the document needed and its value.
7. A customer owed N60,000 at the beginning of the month. During the month he was invoiced N90,000 and N45,000, was given a credit note for N10,000, and paid N60,000. What does his statement show as the balance due?
8. Distinguish between a quotation and a pro-forma invoice.
9. Explain the difference between (a) cash on delivery and cash with order, and (b) carriage paid and carriage forward.
10. Explain the difference between trade discount and cash discount, and state which is recorded in the accounts of the seller.
11. What does E. & O.E. mean on an invoice, and why does the seller print it?

Answers to Exercise 3.1

1. Enquiry, quotation, purchase order, (pro-forma invoice), advice note and delivery note, invoice, (credit or debit note), statement of account, remittance advice,

receipt.

2. The invoice.
3. Gross = 25 × 12,000 = 300,000. Trade discount = 20% of 300,000 = 60,000. Net = 240,000. VAT = 7.5% × 240,000 = 18,000. Total payable = N258,000.
4. The ninth day is within 10 days. Discount = 2% × 150,000 = 3,000. Payment = N147,000.
5. A credit note, for 8 × 2,250 = N18,000.
6. A debit note, since the buyer was undercharged. Value = 40 × (210 − 175) = 40 × 35 = N1,400.
7. 60,000 + 90,000 + 45,000 = 195,000; less credit note, 185,000; less payment, 125,000. Balance due = N125,000.
8. A quotation is an offer to supply at stated prices and is not a demand for payment. A pro-forma invoice is a preliminary bill sent before dispatch, asking the buyer to pay first.
9. (a) With COD the buyer pays when the goods arrive; with CWO he pays when ordering. (b) With carriage paid the seller bears the transport cost; with carriage forward the buyer pays it on arrival.
10. Trade discount is a reduction from list price for traders, deducted on the invoice and not recorded separately. Cash discount rewards prompt payment and is recorded as discount allowed in the seller's accounts.
11. Errors and omissions excepted; it reserves the seller's right to correct mistakes on the invoice later, by a debit note or credit note.

3.7 Further reading points for the examination

Examiners like to test whether candidates can identify the *sender* of a document and the *effect* it has on the amount owed. A useful habit is to attach three questions to every document: who sends it, what does it say, and what must happen next? An order is sent by the buyer and the seller must supply; an invoice is sent by the seller and the

buyer must pay; a credit note is sent by the seller and the buyer's debt falls; a receipt is sent by the seller and the debt is closed. A buyer who has no receipt cannot easily prove payment, so a careful trader insists on one, and keeps it.

Remember too that documents are linked by numbers. The order number appears on the invoice, the invoice number on the credit note, and the invoice numbers on the remittance advice. This allows the accounts staff of both firms to match their records. If the two sets do not agree, the firms should compare the delivery note, which carries the signature of the person who received the goods, with the invoice and the order. Most disputes are resolved at that point, since the three documents together show what was ordered, what arrived, and what was billed.

Chapter summary

- Business documents give proof of transactions, avoid disputes, and provide the basis for accounting and tax.
- A credit sale follows this sequence: enquiry, quotation or tender, purchase order, (pro-forma invoice), advice and delivery notes, invoice, credit or debit note, statement of account, remittance advice and receipt.
- The invoice is the seller's bill; the delivery note proves delivery; a pro-forma invoice asks for payment before dispatch.
- A credit note reduces the amount owed (returns, overcharging); a debit note increases it (undercharging).
- Terms of payment include cash with order, cash on delivery, credit, instalments and sale or return. Terms of delivery include carriage paid, carriage forward and ex-works.
- Trade discount is deducted on the invoice for traders; cash discount (for example 3/10, net 30) is allowed only for early payment.
- On an invoice: gross amount, less trade discount, plus VAT (7.5% on the discounted amount), plus carriage, gives the total payable.
- The receipt is the buyer's proof of payment; documents are linked by reference numbers, and electronic documents have the same force as paper

ones.

Chapter 4: Forms of Business Units

Every business must have an owner, or a group of owners, who put up the money, take the decisions and receive the profit or bear the loss. The legal arrangement that defines who these people are, how much they risk and how the business is controlled is called a **form of business unit**. A woman who sells provisions from a kiosk in Mushin, three friends who run a printing press in Kano, a bottling company whose shares are traded on the stock exchange, and the Nigerian National Petroleum Company Limited are all business units, yet they differ enormously in size, ownership and legal status.

This chapter describes the forms recognised in Nigeria and tested in the UTME: the sole proprietorship, the partnership, the limited liability company, the co-operative society and the public enterprise. For each we study formation, capital, liability, management, advantages and disadvantages. We then compare them, look at the ways in which firms combine, and finish with calculations on profit sharing, dividends and co-operative surpluses. Company formation is governed by the Companies and Allied Matters Act 2020 (CAMA), administered by the Corporate Affairs Commission (CAC).

4.1 Classification of business units

The commonest classification is by ownership. **Private sector units** are owned by individuals or groups who aim at profit: sole proprietorships, partnerships and companies. **Public sector units** are owned by federal, state or local government and exist mainly to provide services or develop the economy. **Co-operative societies** are owned by members who join together to help one another.

Two ideas dominate the comparison. **Liability** is the extent to which owners are personally responsible for the debts of the business. **Legal personality** is the status of being, in law, a person distinct from the owners, able to own property, make contracts, sue and be sued in its own name. A company has it; a sole proprietorship and an ordinary partnership do not.

Key point. Examination questions on business units nearly always turn on liability (limited or unlimited) and legal personality (separate or not). Learn the position of each unit on both.

4.2 The sole proprietorship

A **sole proprietorship** is a business owned, financed and usually managed by one person. Examples are the roadside mechanic, the trader at Ariaria market in Aba, the tailor and the owner of a small cyber café. No elaborate procedure is needed to begin, but if the business trades under a name other than the owner's own, that **business name** must be registered with the CAC. Any local permit the trade needs and tax registration are also required.

The owner supplies the capital from savings, gifts, loans from relatives and later bank loans, takes all decisions and keeps all profit. The owner has **unlimited liability**: if the business cannot pay its debts, creditors may claim the owner's private property, such as a house or car, as well as the business assets. The business has no separate legal personality and its continuity is uncertain, since it is tied to the life and fortunes of the owner.

Advantages: it is cheap and easy to start and to close; the owner keeps all profit, which is a strong incentive; decisions are quick; personal contact builds customer loyalty; and affairs are private. **Disadvantages:** capital is limited to what the owner and a few lenders can supply; liability is unlimited; the owner bears all losses and has no cover in sickness; skill is limited to one person's; and the business may end with its owner.

4.3 The partnership

A **partnership** is a business carried on by two or more persons in common with a view to profit. The general law is based on the Partnership Act 1890 as applied in the states, with state laws such as the Lagos State Partnership Law. For non-professional partnerships the number of partners is usually limited to twenty, though certain professions (law, accountancy, medicine) may have more. A partnership trading under a name must register it with the CAC.

The partnership deed

Partners usually sign a **partnership deed**. It is not compulsory, but a written deed prevents quarrels. It states the name and nature of the business, each partner's capital, the profit-sharing ratio, whether interest on capital or salaries are allowed, each partner's duties, and the procedure for admission, retirement and dissolution. Where the partners have made no agreement, the law supplies these rules: profits and losses are shared **equally** whatever the capital contributed; no partner receives a salary; no interest is allowed on capital; a partner who lends the firm money beyond his capital is entitled to 5% interest a year; and every partner may take part in management.

Types of partner

- **Active partner** takes part in running the business.
- **Sleeping (dormant) partner** supplies capital and shares profit but takes no part in management; liability is still unlimited.
- **Nominal partner** lends his name to the firm but has no real interest.
- **Partner by holding out** is not a partner but lets others believe that he is, and is liable to those who rely on that belief.
- **Limited partner**, in a limited partnership, has liability limited to the amount contributed, but may not manage; if he does, he loses the protection. There must be at least one general partner with unlimited liability.

CAMA 2020 also created the **limited liability partnership** (LLP), which has separate legal personality and in which each partner's liability is limited. In an ordinary partnership each partner is liable for the firm's debts without limit and is also an **agent** of the firm, so a contract made by one partner in the ordinary course of business binds all.

Advantages: more capital and borrowing power than a sole trader; pooled skills; shared work and cover during absence; few formalities; spread of risk. **Disadvantages:** unlimited liability and the risk of being bound by a partner's mistakes; disagreements; dissolution on the death, bankruptcy or withdrawal of a partner unless the deed says otherwise; capital limited by the small number of partners; and difficulty of transferring a share without consent.

4.4 The limited liability company

A **company** is an association formed under the law, with separate legal personality, limited liability for its members, and perpetual succession. In the English case *Salomon v Salomon*, which Nigerian courts follow, it was held that a registered company is a legal person distinct from its shareholders, however much control one person has over it.

Types of company under CAMA 2020

- **Private company limited by shares**: its name ends in "Limited" (Ltd); it may not offer shares to the public. CAMA 2020 allows one person to form it. The minimum issued share capital is ₦100,000.
- **Public company limited by shares**: its name ends in "Plc"; it may offer shares and debentures to the public. It needs at least two members and a minimum issued share capital of ₦2,000,000.
- **Company limited by guarantee**: has no share capital; members promise to pay a fixed sum if it is wound up. It suits non-profit bodies such as clubs, churches and trade associations.
- **Unlimited company**: members' liability is not limited; it is rare.

Formation

1. The promoters reserve a name with the CAC.
2. They file the **memorandum of association**, the company's external constitution, which states its name, registered office, the liability of members, the share capital and the shares taken by each subscriber.
3. They file the **articles of association**, the internal rules on meetings, directors' powers, share transfers and dividends. Model articles may be adopted.
4. They file particulars of directors, the secretary and the registered address, with the fees.
5. The CAC issues the **certificate of incorporation**. From its date the company exists as a legal person, and a private company may begin business.
6. A public company that wishes to invite the public to buy shares issues a **prospectus**, giving full information about the company, and obtains the approval of the Securities and Exchange Commission (SEC).

> **Exam tip.** The *memorandum* and *articles* are filed for incorporation; the *certificate of incorporation* proves existence; the *prospectus* invites the public to subscribe. Registering a *business name* (Part B of CAMA) only records the owners and does not create a separate legal person or limit liability; incorporation (Part A) does both.

Share capital

The capital of a company is divided into **shares**. **Authorised (nominal) capital** is the maximum the company may issue, as stated in its memorandum. **Issued capital** is the part actually taken up by shareholders. **Called-up capital** is the part of issued capital the company has asked shareholders to pay; **paid-up capital** is the part actually paid; **uncalled capital** is the part not yet demanded. **Par value** is the face value of a share, such as 50 kobo or ₦1; a share sold above par is sold at a **premium**.

Ordinary (equity) shares carry the right to vote and to receive whatever dividend remains after other claims are met; their holders bear the greatest risk and enjoy the greatest reward. **Preference shares** carry a fixed dividend that is paid before any ordinary dividend, and usually no vote. They may be *cumulative* (unpaid dividends are carried forward), *redeemable* (the company may repay them on a stated date) or *participating* (they share in surplus profit). A company may also borrow by issuing **debentures**: documents acknowledging a debt, usually secured on the company's assets, carrying fixed interest payable whether or not there is a profit. Debenture holders are creditors, not owners, and have no vote.

Management and control

Ownership is separated from management. Shareholders meet at the **annual general meeting** (AGM) to receive the accounts, elect directors, appoint auditors and approve the dividend; a meeting called between AGMs for urgent business is an **extraordinary general meeting**. The shareholders elect a **board of directors**, who decide policy and appoint the **managing director** and other managers. A public company must have a **company secretary** who keeps records and ensures that legal requirements are met.

Advantages: limited liability; large capital from many investors; perpetual succession; easy transfer of shares of a public company on the Nigerian Exchange; professional management; economies of large-scale operation; easier access to credit. **Disadvantages:** formation is costly and slow; there are many legal duties and annual filing; a public company must publish accounts; control may fall to a few large shareholders or directors; decisions may be slow; and profits are in effect taxed twice, as company income tax and again as tax on dividends.

Feature	Private company (Ltd)	Public company (Plc)
Membership	One or more	At least two, no upper limit
Sale of shares	Not to the public; transfer restricted	Offered to the public; freely transferable
Minimum share capital	₦100,000	₦2,000,000
Prospectus	Not required	Required to invite the public
Stock exchange listing	Not possible	Possible

Winding up

A company ends only when it is **wound up**, voluntarily (by members or creditors) or compulsorily (by court order, for example when it cannot pay its debts). A **liquidator** sells the assets, pays creditors in the order the law lays down (secured creditors, workers' wages and taxes, then unsecured creditors), and returns any balance to shareholders, preference shareholders first.

4.5 Co-operative societies

A **co-operative society** is a voluntary association of persons who join on the basis of equality to meet common economic and social needs through a democratically controlled business. The modern movement began at Rochdale, England, in 1844. In Nigeria societies are registered under state co-operative laws; cocoa farmers' societies in Ibadan and Ondo and workplace thrift societies are familiar examples.

The principles are: voluntary and open membership; **democratic control**, each member having one vote whatever his shareholding; limited interest on share capital; surplus distributed in proportion to members' dealings with the society (**patronage**) or kept for its development; and education of members.

- **Consumer co-operatives** buy goods in bulk and sell to members, giving a rebate on purchases.

- **Producer co-operatives** help members who make goods to obtain materials and sell together.
- **Marketing co-operatives** collect and sell members' produce, such as cocoa or groundnuts, and bargain for better prices.
- **Thrift and credit co-operatives** encourage regular saving and lend to members at low interest; they are the most widespread in Nigeria.
- **Housing co-operatives** help members acquire land and build homes.

The advantages are limited liability, cheap loans, bulk-buying power, a share of the surplus and training in thrift and management, with government assistance and tax concessions. The disadvantages are small capital, weak management by part-time officers, loan defaults and slow democratic decisions.

> **Key point.** A co-operative differs from a company in its aim (service to members rather than maximum profit) and its voting (one member, one vote, not one share, one vote). Surplus is shared by use of the society, not by shares held.

4.6 Public enterprises

A **public enterprise** is a business unit owned, financed and controlled wholly or mainly by government. Nigerian examples are the Nigerian Ports Authority (NPA), the Nigerian Railway Corporation (NRC), the Federal Airports Authority of Nigeria (FAAN), the Nigerian Postal Service (NIPOST) and NNPC Limited. They take three main forms: **government departments**, financed from the annual budget; **public corporations**, created by a specific Act, with separate legal personality, a board appointed by government and some financial independence; and **government-owned companies**, registered under CAMA with government holding most or all of the shares.

Governments set them up to provide essential services that private investors find unprofitable; to prevent private monopoly in vital sectors; to create jobs and develop backward regions; to control strategic industries; and to undertake projects needing very large capital. Their common problems are political interference, corruption, inefficiency, over-staffing, dependence on subsidies, unrealistic pricing and poor maintenance.

Governments have therefore reformed the sector. **Privatisation** transfers ownership or control to private investors by selling shares or assets. **Commercialisation** leaves the enterprise in government hands but requires it to be run on commercial lines, charging economic prices and covering its costs. **Deregulation** removes controls so that competition can operate, as in telecommunications and downstream petroleum. The Public Enterprises (Privatisation and Commercialisation) Act of 1999 created the National Council on Privatisation and its secretariat, the **Bureau of Public Enterprises** (BPE). Supporters say privatisation improves efficiency, widens share ownership and brings investment; critics fear that assets are sold cheaply, workers lose jobs and essential services become dearer.

4.7 Comparison of business units

Feature	Sole proprietorship	Partnership	Company	Co-operative	Public enterprise
Owners	One person	2 to 20 usually	Shareholders	Members	Government
Legal personality	None	None (except LLP)	Separate	Separate	Separate (corporations)
Liability	Unlimited	Unlimited (limited partner and LLP excepted)	Limited	Limited	Limited to the enterprise
Main aim	Profit	Profit	Profit	Service to members	Public service
Control	Owner	Partners	Elected directors	Elected committee, one member one vote	Government-appointed board
Continuity	Weak	Weak	Perpetual	Perpetual	Perpetual

4.8 Combinations of business units

Firms often grow by joining with others. A **merger** combines two or more firms into one, usually by agreement. In an **amalgamation** the original companies disappear and a new company takes over. In a **takeover** one company buys enough shares in another to control it. A **holding company** owns a controlling interest in other companies, its **subsidiaries**.

By direction, **horizontal integration** joins firms at the same stage of production (two cement makers); **vertical integration** joins firms at different stages, *backward* towards raw materials (a flour mill buying wheat farms) or *forward* towards the consumer (a manufacturer opening shops); and **conglomerate integration** joins unrelated businesses to spread risk. A **cartel** is an agreement among independent

producers to fix prices or limit output. A **multinational company** operates in several countries. A **franchise** allows a person (the franchisee) to trade under the name and methods of an established firm (the franchisor) for a fee. Combinations bring economies of scale but may create monopoly power, so the Federal Competition and Consumer Protection Commission reviews large mergers.

4.9 Worked examples

WORKED EXAMPLE 4.1

Adaeze and Bello are partners with capitals of ₦600,000 and ₦400,000. Their deed provides interest on capital at 5% a year, a salary of ₦120,000 a year to Adaeze, and the balance of profit shared 3 : 2. The net profit is ₦900,000. Calculate each partner's total share.

Solution: Interest: Adaeze 5% of ₦600,000 = ₦30,000; Bello 5% of ₦400,000 = ₦20,000; total ₦50,000. Salary = ₦120,000. Profit left for sharing = ₦900,000 − ₦50,000 − ₦120,000 = ₦730,000. Adaeze 3/5 × ₦730,000 = ₦438,000; Bello 2/5 × ₦730,000 = ₦292,000. Totals: Adaeze = ₦30,000 + ₦120,000 + ₦438,000 = ₦588,000; Bello = ₦20,000 + ₦292,000 = ₦312,000. Check: ₦588,000 + ₦312,000 = ₦900,000.

WORKED EXAMPLE 4.2

Kano Plastics Plc has 200,000 8% preference shares of ₦1 each and 600,000 ordinary shares of ₦1 each. The directors distribute ₦100,000 as dividends. Find the preference dividend and the dividend per ordinary share (the whole remainder going to ordinary shareholders), and the amount received by Mr Danjuma, who holds 8,000 ordinary shares.

Solution: Preference dividend = 8% × ₦200,000 = ₦16,000. Left for ordinary shareholders = ₦100,000 − ₦16,000 = ₦84,000. Per share = ₦84,000 ÷ 600,000 = ₦0.14, or 14 kobo. Mr Danjuma receives 8,000 × ₦0.14 = ₦1,120.

WORKED EXAMPLE 4.3

Mr Ojo, a sole proprietor, has business assets of ₦800,000 and owes business creditors ₦1,100,000. His private property is worth ₦500,000. Mr Ibe holds 1,000 shares of ₦1 each, with 60 kobo per share paid, in a company that fails. (a) How much of Mr Ojo's private property is lost? (b) What is Mr Ibe's maximum liability?

Solution: (a) Shortfall = ₦1,100,000 − ₦800,000 = ₦300,000. Liability is unlimited, so ₦300,000 is taken from private property, leaving ₦500,000 − ₦300,000 = ₦200,000. (b) Mr Ibe's liability is limited to the unpaid amount: 1,000 × (₦1.00 − ₦0.60) = 1,000 × ₦0.40 = ₦400, however large the company's debts.

WORKED EXAMPLE 4.4

A consumer co-operative in Ibadan makes a surplus of ₦600,000. It places 20% in a reserve fund and divides the remainder equally between interest on shares and a rebate on purchases. Members' total purchases were ₦4,800,000. Find (a) the rebate in kobo per naira, and (b) the rebate of a member who bought goods worth ₦36,000.

Solution: Reserve = 20% × ₦600,000 = ₦120,000. Remainder = ₦480,000. Half for rebate = ₦240,000. (a) Rate = ₦240,000 ÷ ₦4,800,000 = 0.05, which is 5 kobo per naira. (b) Rebate = ₦36,000 × 0.05 = ₦1,800.

WORKED EXAMPLE 4.5

A company has authorised capital of 1,000,000 ordinary shares of ₦1 each. It issues 700,000 shares and calls up 80 kobo per share; shareholders pay the call in full except on 10,000 shares. Find the issued, called-up, paid-up and uncalled capital.

Solution: Issued = 700,000 × ₦1 = ₦700,000. Called-up = 700,000 × ₦0.80 = ₦560,000. Unpaid calls = 10,000 × ₦0.80 = ₦8,000, so paid-up = ₦560,000 − ₦8,000 = ₦552,000. Uncalled = ₦700,000 − ₦560,000 = ₦140,000.

Exercise 4.1

1. Which of these has separate legal personality: sole proprietorship, ordinary partnership, company?
2. Name the two documents filed with the CAC to incorporate a company, and the document that proves it exists.
3. Distinguish between a sleeping partner and a limited partner.
4. Rashidat and Chika are partners with no agreement. Rashidat contributed ₦500,000 and Chika ₦100,000. If profit is ₦240,000, how much does each receive?
5. Adebayo, Emeka and Musa share profits 5 : 3 : 2. Net profit is ₦1,200,000 and Emeka is entitled to a salary of ₦60,000 before sharing. How much does each receive in total?
6. A company has 400,000 6% preference shares of ₦1 each and 1,000,000 ordinary shares of 50 kobo each. If ₦184,000 is paid as dividends, what is the dividend per ordinary share in kobo, the remainder going to ordinary shareholders?
7. State three differences between a private company and a public company.
8. A co-operative has a surplus of ₦900,000. It allocates 10% to reserve and 5% to education, and shares the balance as a rebate on members' purchases

of ₦5,100,000. Find the rebate in kobo per naira.

9. Distinguish between privatisation and commercialisation.
10. A bread manufacturer buys a wheat farm. Name the type of integration.
11. A company issues 500,000 shares of ₦2 each and has called up ₦1.50 per share. Find the called-up and uncalled capital.

Answers to Exercise 4.1

1. Company; the other two are not legally separate from their owners.
2. Memorandum of association and articles of association; the certificate of incorporation proves existence.
3. A sleeping partner shares profit but does not manage and has unlimited liability; a limited partner's liability is limited to his contribution and he loses that protection if he manages.
4. With no agreement, profit is shared equally: ₦240,000 ÷ 2 = ₦120,000 each, whatever the capital.
5. After salary: ₦1,200,000 − ₦60,000 = ₦1,140,000; one part = ₦1,140,000 ÷ 10 = ₦114,000. Adebayo 5 × ₦114,000 = ₦570,000; Emeka 3 × ₦114,000 + ₦60,000 = ₦402,000; Musa 2 × ₦114,000 = ₦228,000. Total ₦1,200,000.
6. Preference dividend = 6% × ₦400,000 = ₦24,000; remainder = ₦184,000 − ₦24,000 = ₦160,000; ÷ 1,000,000 shares = ₦0.16 = 16 kobo.
7. Any three: a private company cannot offer shares to the public; may have one member while a public company needs at least two; minimum capital ₦100,000 against ₦2,000,000; shares not freely transferable; a public company needs a prospectus and fuller published accounts.
8. Reserve ₦90,000 and education ₦45,000; balance = ₦900,000 − ₦135,000 = ₦765,000; ₦765,000 ÷ ₦5,100,000 = 0.15, so 15 kobo per naira.
9. Privatisation transfers ownership or control to private investors; commercialisation keeps government ownership but requires commercial operation.
10. Backward vertical integration.

11. Called-up = 500,000 × ₦1.50 = ₦750,000; issued = ₦1,000,000; uncalled = ₦250,000.

Chapter summary

- Business units are private (sole proprietorship, partnership, company), co-operative or public; the key distinctions are liability and legal personality.
- A sole proprietorship has one owner with unlimited liability and no separate legal existence; it is easy to form but limited in capital.
- A partnership has two or more owners, usually up to twenty; with no agreement, profits are shared equally and no interest or salary is allowed. Liability is unlimited except for a limited partner or in an LLP.
- A company has separate legal personality, limited liability and perpetual succession. It is formed by filing the memorandum and articles with the CAC, which issues the certificate of incorporation; a public company needs a prospectus to invite the public to subscribe.
- Ordinary shares carry votes and variable dividends; preference shares carry fixed dividends paid first; debentures are loans carrying fixed interest.
- Authorised, issued, called-up, paid-up and uncalled capital are different measures of a company's share capital.
- Co-operatives are member-owned, democratically controlled (one member, one vote) and share surplus by patronage.
- Public enterprises provide essential services but suffer inefficiency and interference; privatisation, commercialisation and deregulation are the reforms, directed by the BPE.
- Firms combine by merger, amalgamation, takeover and holding companies, and integrate horizontally, vertically or as conglomerates.

Chapter 5: Business Finance, the Money Market and the Capital Market

A business cannot start, operate or grow without money. The owner of a bakery in Ibadan needs money to buy an oven and a delivery van, and also to buy flour each week and to pay workers every month. A manufacturing company that wishes to build a second factory may need hundreds of millions of naira, far more than its owners have saved. **Business finance** is the study of how firms obtain the funds they need, from which sources, at what cost, and for how long. This chapter explains the purposes for which finance is needed, classifies the sources of finance, describes the institutions through which funds flow from savers to firms, namely the money market, the capital market and the stock exchange, and ends with the arithmetic of interest, hire purchase, share dealing and short-term securities.

5.1 Why businesses need finance

The money used in a business is called its **capital**. It is needed for two broad purposes.

- **Fixed capital** is money invested in assets that will be used in the business for many years and are not meant for resale: land, buildings, machinery, vehicles and equipment. It is spent once, in a large sum, at the start or at expansion.
- **Working (circulating) capital** is the money needed for the day-to-day running of the business: buying raw materials and stock, paying wages and rent, and allowing customers time to pay. It is defined as **current assets minus current liabilities**. Current assets are cash, stock, debtors and other items that will become cash within a year; current liabilities are debts payable within a year, such as creditors and overdrafts.

A business that has too little working capital cannot pay its bills on time even though it may be making a profit; such a firm is said to be **illiquid**. The **current ratio**, current assets divided by current liabilities, is a quick test of liquidity; a ratio of about 2 : 1 is traditionally regarded as comfortable.

Finance is also needed to start a business (*start-up capital*), to expand it, to replace worn-out assets, to take advantage of bulk discounts and to meet emergencies.

> **Key point.** Match the source to the need. Long-term needs such as buying a factory should be met from long-term sources (shares, debentures, long-term loans, retained profit). Short-term needs such as buying stock should be met from short-term sources (trade credit, overdraft). Using a short-term loan to buy a building is dangerous, because the loan falls due long before the building has earned the money to repay it.

5.2 Sources of finance

Sources of finance may be classified by duration: short, medium and long term, and by origin: internal and external.

Internal sources

Internal sources come from within the business itself.

- **Owner's capital (equity)**: money contributed by the proprietor, partners or shareholders.
- **Retained profit (ploughed-back profit)**: profits not shared out but kept in the business. It costs nothing in interest and needs no outsiders' consent, but it is available only after the business is profitable and reduces dividends.
- **Sale of surplus assets**: selling idle machinery or land to raise cash.
- **Depreciation provisions**: money set aside from revenue to replace assets, which remains available for use in the meantime.

- **Better credit control**: collecting debts faster and holding less stock releases cash already in the business.

External sources

Short-term sources (up to one year):

- **Trade credit**: goods bought now and paid for later, typically after 30 days. It is the commonest source and costs nothing unless a cash discount is forgone.
- **Bank overdraft**: permission to draw more from a current account than has been deposited, up to an agreed limit. Interest is charged only on the amount actually overdrawn and only for the days it is overdrawn.
- **Short-term bank loans**, **commercial paper** and **bankers' acceptances**.
- **Factoring**: a firm sells its trade debts to a specialist company, the factor, for immediate cash less a fee, and the factor collects the debts.
- **Bill discounting**: a firm holding a bill of exchange sells it before maturity to a bank at a discount.
- **Advance payments** by customers, and loans from friends and relatives.

Medium-term sources (one to five years):

- **Term loans** from commercial banks, repaid by instalments with interest.
- **Hire purchase**: the buyer takes the goods at once, pays a deposit and then instalments, and becomes the owner only when the last instalment is paid. Until then the seller owns the goods. If the buyer defaults, the seller may repossess them.
- **Leasing**: the firm uses an asset owned by another (the lessor) and pays rent. In a *finance lease* the arrangement covers most of the asset's life; in an *operating lease* it is for a short period and the lessor maintains the asset. Leasing is common for aircraft, vehicles and generators. The firm does not need to find the large purchase price, but never becomes the owner unless the contract so provides.
- **Credit unions, thrift societies and co-operative loans**.

Long-term sources (over five years):

- **Sale of shares** (ordinary and preference) by a company. It brings permanent capital, with no repayment obligation, but dividends depend on profit and ownership is diluted.
- **Debentures and bonds**: long-term loans carrying fixed interest, repayable on a fixed date.
- **Long-term loans and mortgages**: loans secured on land and buildings. A **mortgage** gives the lender the right to sell the property if the borrower defaults.
- **Venture capital**: money provided by specialist investors to new or risky enterprises in return for a share of ownership.
- **Government grants and development finance** from institutions such as the Bank of Industry (BOI), the Bank of Agriculture (BOA), the Nigerian Export-Import Bank (NEXIM) and the Federal Mortgage Bank of Nigeria (FMBN), which lend at favourable rates to priority sectors.
- **Microfinance banks** and the various small-business funds, which serve small traders and farmers excluded from the large banks.

Choosing between equity and debt

The choice between selling shares (**equity finance**) and borrowing (**debt finance**) is a central decision. Equity has no fixed charge: dividends may be reduced or passed in a bad year, and the money need not be repaid. But new shareholders share control and future profit. Debt keeps control with existing owners and the interest is deductible for tax, but it must be paid whatever the profit, and the principal must be repaid, so heavy borrowing raises the risk of insolvency. A firm whose borrowing is large compared with its equity is said to be **highly geared**. Gearing helps when profits are good, since the owners keep the surplus after paying a fixed interest, and hurts when they are poor.

5.3 The financial system: money market and capital market

The **financial system** is the network of institutions and markets that bring those who have surplus funds (savers) together with those who need them (borrowers). Its two main parts are distinguished by the length of the loans traded.

Feature	Money market	Capital market
Period of funds	Short term, up to one year	Medium and long term, over one year
Instruments	Treasury bills, commercial paper, bankers' acceptances, certificates of deposit, call money, bills of exchange	Ordinary and preference shares, debentures, corporate bonds, government bonds
Main participants	Central Bank, commercial banks, discount houses, large companies	Stock exchange, issuing houses, stockbrokers, pension funds, insurance companies, investors
Purpose	Liquidity, working capital, government short-term borrowing	Fixed capital, development projects
Risk	Low	Higher, prices fluctuate

The money market

The money market deals in short-term funds. Its main instruments are as follows.

- **Treasury bills**: short-term securities (91, 182 or 364 days) issued by the Central Bank of Nigeria on behalf of the Federal Government. They carry no interest as such; they are sold at a *discount* below face value and redeemed at face value on maturity, the difference being the investor's return. They are the safest investment in the country, since the government stands behind them.
- **Commercial paper**: an unsecured short-term promise to pay issued by a creditworthy company to raise working capital.
- **Bankers' acceptances**: bills of exchange accepted (guaranteed) by a bank, which makes them easy to sell.

- **Certificates of deposit**: receipts issued by a bank for a fixed deposit, which may be sold before maturity.
- **Call money**: overnight or very short loans between banks that have surplus funds and banks that are short.

The capital market

The capital market is divided into the **primary market**, in which new securities are issued by the borrower to the investors, so that money flows to the issuer; and the **secondary market**, in which existing securities are bought and sold among investors, so that the company receives nothing but investors can turn their holdings into cash. The stock exchange is the principal secondary market, though it also supports new issues.

Ways in which a company may raise funds in the primary market include:

- **Public offer (offer for subscription)**: shares are offered directly to the public by prospectus. When an unquoted company first sells shares to the public, this is an **initial public offering** (IPO).
- **Offer for sale**: an issuing house buys a block of shares from the company and then sells them to the public.
- **Rights issue**: new shares are offered to existing shareholders in proportion to their holding, usually at a price below the market price. A "one for four" rights issue gives the right to buy one new share for every four held.
- **Bonus (scrip) issue**: free new shares given to existing shareholders by converting reserves into capital. Wealth does not change, but each shareholder holds more shares, each worth proportionately less.
- **Private placement**: shares sold directly to a few selected investors, such as institutions.

The people who make the market work are **issuing houses** (merchant banks that organise new issues), **stockbrokers** (licensed dealers who buy and sell securities for clients), **registrars** (who keep the register of shareholders), **underwriters** (who

promise to take up any shares the public does not buy, for a commission), and the **Securities and Exchange Commission (SEC)**, which regulates the market, approves prospectuses and protects investors.

5.4 The stock exchange

A **stock exchange** is an organised market where securities issued by governments and companies are bought and sold. In Nigeria it is the **Nigerian Exchange Limited** (NGX), located in Lagos, which succeeded the Nigerian Stock Exchange; it has several boards, including the Main Board, the Premium Board and the Growth Board, and an alternative market for smaller firms. Securities are held electronically through the **Central Securities Clearing System (CSCS)**, which registers ownership and clears and settles trades; an investor who buys shares has an account, and a trade through a licensed stockbroker adjusts it.

Functions of the stock exchange

- It provides a place where long-term capital is raised from many small savers for use by firms and governments.
- It gives **liquidity**: an investor can convert shares to cash quickly, which encourages people to invest.
- It sets a continuously updated **market price** for each security, indicating how investors value the company.
- It supervises its members and requires listed companies to publish accounts, which protects investors.
- It encourages saving and wider ownership, and helps government raise development loans through bonds.
- It provides indices, such as the NGX All-Share Index, that serve as indicators of the general state of the economy.
- It supports privatisation by providing a way of selling government shares to the public.

Listing

Only public companies that satisfy the Exchange's requirements, on size, profit record, number of shareholders and disclosure, are admitted to the official list (**quoted** or **listed** companies). Quotation gives a company prestige, easier fund raising and a ready market for its shares, but it also imposes costs and the duty of regular disclosure, and exposes it to the risk of takeover.

Market terms

- A **bull** is an investor who buys in the expectation that prices will rise, in order to sell at a profit; a **bear** expects prices to fall and sells in the hope of buying back more cheaply; a **stag** applies for new issues in the hope of selling immediately at a premium.
- A **bull market** is a period of generally rising prices; a **bear market** is one of falling prices.
- **Dividend yield** is the annual dividend per share divided by the market price per share, expressed as a percentage.
- **Market capitalisation** is the number of issued shares multiplied by the market price per share.
- A **blue chip** is the share of a large, long-established and profitable company.
- A **share certificate** is evidence of ownership of shares; a **bond** is a certificate of loan, usually from government or a company, which pays a fixed interest known as the **coupon** on its face value.

Government securities

Governments borrow by issuing **treasury bills** (short term) and **bonds** (long term). The Federal Government Bonds and state government bonds are issued through the Debt Management Office (DMO). Because the government is rarely expected to fail to pay, they are the safest securities and form a benchmark for the interest rates on other loans.

5.5 Investment, risk and return

Every investor faces the same trade-off. Safe investments, such as treasury bills and savings accounts, pay low returns; risky ones, such as shares, may pay far more but may also lose money. The return on shares comes in two forms: **dividends** and **capital gain**, the rise in the market price. **Diversification**, spreading money across different securities and sectors, reduces risk, for the failure of one company then damages only a small part of the total.

5.6 Financial calculations

Simple interest

Interest on a loan, calculated on the original sum only, is $I = P \times R \times T / 100$, where P is the principal, R the rate per year in percent, and T the time in years. The amount to be repaid is $A = P + I$.

Hire purchase

The **hire purchase price** is the deposit plus all instalments. The **hire purchase charge** (the cost of credit) is the hire purchase price minus the cash price.

Share dealing

The **return** on an investment is the dividend received plus the capital gain, and the **percentage return** is that total divided by the amount invested, multiplied by 100.

Treasury bills

An investor who buys a treasury bill at a discount earns the difference between face value and cost. The return over the period is the discount divided by the purchase price, and the annualised rate is found by multiplying by 365 and dividing by the number of days to maturity.

5.7 Worked examples

WORKED EXAMPLE 5.1

A trading firm in Aba has current assets of ₦2,400,000, made up of stock ₦1,500,000, debtors ₦600,000 and cash ₦300,000, and current liabilities of ₦1,600,000. Calculate its working capital and its current ratio.

Solution: Working capital = current assets − current liabilities = ₦2,400,000 − ₦1,600,000 = ₦800,000. Current ratio = ₦2,400,000 ÷ ₦1,600,000 = 1.5, or 1.5 : 1. This is below the comfortable level of about 2 : 1, so the firm should watch its liquidity.

WORKED EXAMPLE 5.2

Mrs Eze buys a generator from a dealer on hire purchase. The cash price is ₦240,000. She pays a deposit of 25% of the cash price and then 12 monthly instalments of ₦18,000. Calculate (a) the deposit, (b) the hire purchase price, (c) the hire purchase charge, and (d) the simple annual rate of interest on the amount borrowed, assuming that the credit lasts one year.

Solution: (a) Deposit = 25% × ₦240,000 = ₦60,000. (b) Instalments = 12 × ₦18,000 = ₦216,000; hire purchase price = ₦60,000 + ₦216,000 = ₦276,000. (c) Charge = ₦276,000 − ₦240,000 = ₦36,000. (d) Amount borrowed = ₦240,000 − ₦60,000 = ₦180,000; rate = ₦36,000 ÷ ₦180,000 × 100 = 20% a year (a simplification, since the debt falls as instalments are paid, so the true rate is higher).

WORKED EXAMPLE 5.3

Mr Yakubu buys 2,000 shares of a quoted company at ₦12.50 each. During the year the company pays a dividend of ₦0.60 per share. He then sells all the shares at ₦15.80 each. Ignoring brokerage costs, calculate (a) the dividend yield at purchase price, (b) his total gain, and (c) his percentage return on the amount invested.

Solution: Amount invested = 2,000 × ₦12.50 = ₦25,000. (a) Dividend yield = ₦0.60 ÷ ₦12.50 × 100 = 4.8%. (b) Dividend received = 2,000 × ₦0.60 = ₦1,200. Capital gain = 2,000 × (₦15.80 − ₦12.50) = 2,000 × ₦3.30 = ₦6,600. Total gain = ₦1,200 + ₦6,600 = ₦7,800. (c) Percentage return = ₦7,800 ÷ ₦25,000 × 100 = 31.2%.

WORKED EXAMPLE 5.4

An investor buys a 91-day treasury bill of face value ₦1,000,000 for ₦975,000. Find the discount, the return for the period and the approximate annual rate of return (use 365 days a year).

Solution: Discount = ₦1,000,000 − ₦975,000 = ₦25,000. Return for the period = ₦25,000 ÷ ₦975,000 = 0.02564, or about 2.56%. Annual rate = 2.564% × 365 ÷ 91 = 2.564% × 4.011 ≈ 10.3%.

WORKED EXAMPLE 5.5

A company offers a rights issue of one new share for every four held, at ₦8 per share, when the market price is ₦10. Mrs Salami holds 2,000 shares. (a) How many rights shares may she buy, and what will they cost? (b) What is the total value of her holding at the pre-issue price plus cost, and the theoretical price per share after the issue?

Solution: (a) She may buy 2,000 ÷ 4 = 500 new shares at ₦8 = ₦4,000. (b) Before the issue her 2,000 shares are worth 2,000 × ₦10 = ₦20,000. Adding the cost of the new shares gives ₦24,000 for 2,500 shares, so the theoretical ex-rights price is ₦24,000 ÷ 2,500 = ₦9.60.

WORKED EXAMPLE 5.6

A trader obtains a bank loan of ₦900,000 at 15% simple interest a year for 8 months. How much will she repay at the end of the period?

Solution: T = 8/12 year. Interest = 900,000 × 15 × (8/12) ÷ 100 = ₦90,000. Amount repaid = ₦900,000 + ₦90,000 = ₦990,000.

Exercise 5.1

1. Distinguish between fixed capital and working capital.
2. A firm has current assets of ₦3,500,000 and current liabilities of ₦2,000,000. Calculate the working capital and the current ratio.
3. State three internal sources and three external sources of finance to a company.
4. Distinguish between a bank overdraft and a term loan.
5. Mr Okoro buys a refrigerator costing ₦150,000 cash on hire purchase. He pays a deposit of ₦30,000 and 10 monthly instalments of ₦14,000. Calculate the hire purchase price and the hire purchase charge.

6. Explain the difference between the primary market and the secondary market.
7. Ms Hauwa buys 5,000 shares at ₦4.20 each. The company pays a dividend of ₦0.35 per share, after which she sells at ₦5.00. Find her total return and the percentage return.
8. A 182-day treasury bill of face value ₦500,000 is bought for ₦470,000. Find the discount and the return for the period as a percentage of the purchase price, to one decimal place.
9. A company with 1,200,000 issued shares gives a rights issue of 1 for 3 at ₦5. How many new shares are offered and how much money does the issue raise?
10. Define a bull, a bear and a stag.
11. A loan of ₦400,000 at 12% simple interest is repaid after 18 months. How much is repaid?
12. Give two advantages and two disadvantages of raising capital through debentures instead of shares.

Answers to Exercise 5.1

1. Fixed capital is invested in long-lived assets such as buildings and machinery; working capital is the money for day-to-day running, equal to current assets minus current liabilities.
2. Working capital = ₦3,500,000 − ₦2,000,000 = ₦1,500,000; current ratio = 3,500,000 ÷ 2,000,000 = 1.75 : 1.
3. Internal: owner's capital, retained profit, sale of surplus assets (or depreciation provisions). External: bank loan, overdraft, trade credit, debentures, shares, hire purchase or leasing.
4. An overdraft allows withdrawal beyond the account balance up to a limit, interest charged only on the amount overdrawn; a term loan is a fixed sum lent for a stated period and repaid by instalments with interest on the whole sum.

5. Instalments = 10 × ₦14,000 = ₦140,000; hire purchase price = ₦30,000 + ₦140,000 = ₦170,000; charge = ₦170,000 − ₦150,000 = ₦20,000.
6. In the primary market new securities are issued and the company receives the money; in the secondary market existing securities are traded among investors and the company receives nothing.
7. Invested = 5,000 × ₦4.20 = ₦21,000. Dividend = 5,000 × ₦0.35 = ₦1,750; gain = 5,000 × ₦0.80 = ₦4,000; total = ₦5,750; return = 5,750 ÷ 21,000 × 100 = 27.4% (to 1 d.p.).
8. Discount = ₦500,000 − ₦470,000 = ₦30,000; return = 30,000 ÷ 470,000 × 100 = 6.4% (6.38%).
9. New shares = 1,200,000 ÷ 3 = 400,000; money raised = 400,000 × ₦5 = ₦2,000,000.
10. A bull buys expecting prices to rise; a bear sells expecting prices to fall; a stag applies for new issues to sell at once at a premium.
11. Interest = 400,000 × 12 × 1.5 ÷ 100 = ₦72,000; amount = ₦472,000.
12. Advantages: control is not shared, as debenture holders do not vote; interest is allowable against tax; the sum is fixed and repaid. Disadvantages: interest must be paid whether or not there is profit; the loan must be repaid; the assets may be seized if the company defaults.

Chapter summary

- Finance is needed as fixed capital (long-lived assets) and working capital (current assets minus current liabilities); the current ratio tests liquidity.
- Internal sources include owner's capital and retained profit; external short-term sources include trade credit, overdrafts and factoring; medium-term sources include term loans, hire purchase and leasing; long-term sources include shares, debentures, mortgages, venture capital and development banks.
- Equity finance has no fixed charge but shares control; debt finance keeps control but carries fixed interest and repayment, and heavy debt means high

gearing.

- The money market trades short-term instruments such as treasury bills and commercial paper; the capital market trades long-term securities such as shares and bonds.
- The primary market issues new securities; the secondary market trades existing ones. New issues take the form of public offers, offers for sale, rights issues, bonus issues and private placements.
- The Nigerian Exchange provides liquidity, price information, supervision and a market for capital; the SEC regulates; the CSCS records ownership.
- Bulls expect prices to rise, bears expect them to fall, stags seek quick gains on new issues.
- Key calculations are simple interest, hire purchase price and charge, dividend yield, percentage return on shares and discount return on treasury bills.

Chapter 6: Money and Banking

Few ideas are as important to commerce as money. Without it, the cocoa farmer in Ondo would have to find a tailor who wants cocoa in exchange for a suit, and the tailor would have to find someone who wants a suit in exchange for cement. Money removes the difficulty, and banks make it safe, mobile and productive. This chapter studies the nature and functions of money, the qualities that good money should possess, and the forms it has taken. It then describes commercial banks, their services and the accounts and instruments they offer, the Central Bank of Nigeria and its control of the monetary system, the other financial institutions in Nigeria, and electronic banking. Calculations on interest, credit creation, overdraft charges and bank reconciliation conclude the chapter.

6.1 Barter and the origin of money

Barter is the direct exchange of goods and services for other goods and services without the use of money. It was the earliest form of trade, and in Nigeria it survived in many rural markets for a very long time. Barter suffers from four serious weaknesses:

- **Double coincidence of wants**: a person who has yams and wants a hoe must find someone who has a hoe and wants yams.
- **No common measure of value**: it is hard to say how many yams are equal to one hoe, or to a goat.
- **Indivisibility**: some goods cannot be divided without losing value, so a cow cannot be exchanged for a bag of salt.
- **Difficulty of storing wealth and of making future payments**: perishable goods such as fish lose value, and a debt payable in goats is hard to settle.

These problems led people to adopt a commonly accepted medium of exchange. Early money in West Africa included cowrie shells, manilas (metal bracelets), brass rods, salt and cloth. Metals, especially gold and silver, later replaced these, and they were followed by paper notes. Nigeria used the British West African pound until the Central Bank of Nigeria issued Nigerian pounds in 1959. In 1973 the country adopted a decimal currency, the **naira** (₦) divided into 100 **kobo**.

6.2 Functions and qualities of money

Functions

- **Medium of exchange**: money is accepted in payment for goods and services, and so solves the problem of double coincidence of wants. This is its primary function.
- **Measure (unit) of value**: prices are expressed in a common unit, so the values of different goods can be compared.
- **Store of value**: money allows purchasing power to be kept and used later. It performs this function well only if its value is reasonably stable; in time of inflation it fails.
- **Standard of deferred payment**: debts, wages and contracts that are to be settled in the future are expressed in money.
- **Transfer of value**: money can be moved over distance, for example by bank transfer from Lagos to Maiduguri.

Qualities of good money

- **General acceptability**: everyone must be willing to take it.
- **Durability**: it must not wear out quickly.
- **Portability**: it should be easy to carry and move.
- **Divisibility**: it should be divisible into small units so that it can be used for large and small transactions.
- **Homogeneity (uniformity)**: units of the same value should be identical.
- **Stability of value**: its purchasing power should not change greatly.

- **Scarcity (limited supply)**: it must be scarce enough to be valuable, and hard to counterfeit.
- **Recognisability**: it should be easy to identify.

> **Key point.** Money is whatever is generally accepted as a medium of exchange. Its value arises from public confidence in it, and in modern economies is backed by the authority of the government and the central bank, not by gold. **Legal tender** is money that the law requires creditors to accept in settlement of a debt, up to limits laid down by law; in Nigeria, naira notes and coins are legal tender.

Forms of money

- **Commodity money**: goods used as money, such as cowries and salt.
- **Metallic money**: coins whose value originally lay in their metal.
- **Paper money (notes)**: issued by the central bank; a fiat money, valuable because the law says so.
- **Bank (deposit) money**: balances in bank accounts, which are spent by cheque, transfer or card. In developed economies it forms the largest part of the money supply.
- **Electronic money**: value stored and moved electronically, including debit cards, mobile wallets and instant transfers.

6.3 Commercial banks

A **commercial bank** is a financial institution, licensed by the Central Bank, that accepts deposits from the public, repayable on demand or after a period, and lends the money to borrowers. Examples include Access Bank, Zenith Bank, First Bank, GTBank, UBA and many others. Their income comes mainly from interest on loans, which is higher than the interest they pay on deposits, and from fees and commissions.

Types of account

- **Current account**: for frequent withdrawals by cheque, transfer or card. It pays little or no interest and is used chiefly by businesses. Banks charge for maintaining it and for transactions.
- **Savings account**: for people who save regularly. It pays interest, but withdrawals are limited in number.
- **Fixed (time) deposit account**: money is deposited for a fixed period, such as 90 days or one year, and earns a higher rate of interest. Withdrawing it early loses some or all of the interest.
- **Domiciliary account**: an account kept in foreign currency such as the US dollar, used by importers, exporters and persons who receive foreign money.
- **Corporate and joint accounts**, and **non-interest (Islamic) accounts** offered by banks such as Jaiz Bank and TAJBank that operate under Islamic principles, in which interest is replaced by profit sharing and fees.

To open an account, a customer fills a form, provides identification, passport photographs, proof of address and a **Bank Verification Number** (BVN), the unique biometric identity number linking all of a person's accounts. A business must also show evidence of registration.

Functions and services of commercial banks

- **Accepting deposits** and keeping money safely.
- **Granting loans, overdrafts and advances** to individuals and businesses.
- **Operating payment systems**: cheques, transfers, standing orders (fixed regular payments to the same person), direct debits and direct credits (for example paying salaries).
- **Foreign exchange and international services**: letters of credit, foreign drafts and transfers, and the sale of foreign currency.
- **Discounting bills of exchange** and issuing bank drafts.
- **Safe custody** of valuables and documents.

- **Agency services**: collecting cheques, paying bills, buying and selling securities for customers, and acting as executor or trustee.
- **Advice**: on investment, tax and business matters.
- **Credit creation**: making loans that become new deposits, thereby increasing the money supply.
- **Electronic services**: ATMs, debit cards, internet and mobile banking, USSD codes, agent banking and point-of-sale (POS) terminals.

Lending principles and credit creation

A bank must be both profitable and safe. It must keep enough cash to meet withdrawals (**liquidity**), lend at an interest that gives a profit (**profitability**) and lend only to borrowers who will repay (**safety**). These objectives conflict: the most liquid assets earn least. Banks judge loan applications by the "five Cs": **character** (honesty and record of the borrower), **capacity** to repay out of income, **capital** contributed by the borrower, **collateral** offered as security, and the **conditions** of the business and the economy.

Since customers do not all withdraw their money at once, a bank keeps only a fraction of its deposits as cash and lends the rest. When a bank lends ₦1 million, the borrower spends it and the recipients deposit it in the same or other banks, which can in turn lend a large part of it. In this way an initial deposit supports a much larger total of deposits. The maximum total deposits that can be created are **initial deposit ÷ cash reserve ratio**, where the cash reserve ratio is the fraction of deposits that must be kept in reserve. This is why central banks control the reserve ratio.

6.4 Cheques and other bank instruments

A **cheque** is a written order from a customer (the **drawer**) to his bank (the **drawee**) to pay a stated sum on demand to a named person or to bearer (the **payee**). It is a bill of exchange drawn on a bank and payable on demand. A cheque is valid for six months from the date on it; after that it is **stale** and the bank will not pay it without the drawer's confirmation.

- **Open cheque**: can be cashed over the counter by the payee. Because anyone who steals it may cash it, it is risky.
- **Crossed cheque**: has two parallel lines across its face, with or without words such as "Account payee only", and can be paid only into a bank account. It is therefore safer. A *general crossing* allows payment into any bank account; a *special crossing* names a particular bank.
- **Bearer cheque**: payable to whoever presents it; an **order cheque** is payable to the named payee or to whomever he orders.
- **Post-dated cheque**: bears a future date and cannot be paid before it.

A bank may **dishonour** a cheque (return it unpaid, often marked "refer to drawer") when the drawer's funds are insufficient, the signature differs from the specimen, the cheque is altered without the drawer's signature, is stale or post-dated, is incorrectly written (the amount in words and figures differ), or the drawer has countermanded payment, or has died or become bankrupt. Issuing a cheque that the drawer knows will not be paid is a criminal offence.

Other instruments include the **bank draft** (a cheque drawn by a bank on itself or another bank, guaranteed because the bank has taken the money in advance), the **standing order**, the **direct debit**, the **bank transfer**, and the **credit card** and **debit card**. A *debit card* draws directly on the holder's balance; a *credit card* allows the holder to spend up to a limit and pay later. A **promissory note** is a written promise by one person to pay a sum to another, while a **bill of exchange** is a written order from one person to another to pay a sum on a fixed date; when the drawee signs to show agreement, the bill is *accepted*.

6.5 The Central Bank of Nigeria

A **central bank** is the apex bank of a country. It does not compete with commercial banks for ordinary customers. The Central Bank of Nigeria (CBN) was established by the Central Bank of Nigeria Act of 1958 and began operating in 1959. Its head office is in Abuja.

Functions

- **Issuer of currency**: it alone issues naira notes and coins.
- **Banker to the government**: it keeps government accounts, receives revenue and makes payments.
- **Banker to banks**: commercial banks keep their reserves and settle claims among themselves at the CBN.
- **Lender of last resort**: it lends to banks that are short of cash, to prevent a bank failure from spreading.
- **Adviser to government** on economic and financial matters, and manager of the public debt through treasury bills and bonds.
- **Custodian of external reserves** and manager of the exchange rate and the foreign exchange market.
- **Regulator and supervisor** of banks and other financial institutions.
- **Monetary policy**: control of the money supply and interest rates to achieve price stability and economic growth.

Instruments of monetary policy

- **Monetary Policy Rate (MPR)**: the rate at which the CBN lends to banks; it influences all other interest rates. A rise discourages borrowing and reduces spending.
- **Cash reserve ratio (CRR)**: the percentage of deposits that banks must keep with the CBN. Raising it reduces banks' ability to lend.
- **Liquidity ratio**: the minimum proportion of deposits that banks must hold in liquid assets.
- **Open market operations**: buying or selling government securities. Selling them takes money out of the banks and tightens credit; buying them injects money.
- **Moral suasion and directives**: persuading or instructing banks to follow a particular policy, and **selective credit controls** that direct lending to priority sectors such as agriculture.

When the economy has too much money chasing too few goods and prices are rising, the CBN uses *contractionary* policy: it raises the MPR and the cash reserve ratio and sells securities. When the economy is sluggish, it uses the opposite, *expansionary* policy.

6.6 Other financial institutions

- **Merchant banks** specialise in services to large businesses: raising capital, underwriting, advising on mergers, and managing portfolios.
- **Development banks**, such as the Bank of Industry and the Bank of Agriculture, give long-term loans at moderate interest for industry and agriculture.
- **Microfinance banks** give small loans and accept small savings from low-income people and small traders, with simple requirements.
- **Mortgage institutions**, such as the Federal Mortgage Bank of Nigeria, lend to people building or buying houses.
- **Payment service banks** offer payments and savings but do not grant loans, and extend banking to remote areas through agents.
- **Bureaux de change** buy and sell foreign currency in small amounts.
- **Finance houses, leasing companies, insurance companies, pension fund administrators and co-operative societies** also mobilise savings and provide credit.
- The **Nigeria Deposit Insurance Corporation (NDIC)**, set up in 1988, insures depositors' money up to a stated limit if a bank fails, and so supports confidence in the system.
- The **Nigeria Inter-Bank Settlement System (NIBSS)** operates the platforms that connect banks for instant transfers and clearing.

6.7 Electronic banking

The use of technology has changed banking. An **automated teller machine (ATM)** allows cash withdrawal and balance enquiry at any time. A **point-of-sale (POS) terminal** lets a customer pay by card at a shop. **Internet and mobile banking** allow transfers, bill payment and airtime purchase from a phone or computer, and **USSD codes** allow the same on basic phones. **Agent banking** uses small shops to provide cash-in and cash-out services. These save time and cost and widen access. The risks are fraud and hacking, so customers must protect their PIN, password and token, and never share a one-time password with anyone.

6.8 Worked examples

WORKED EXAMPLE 6.1

Mrs Bamidele puts ₦500,000 in a fixed deposit account at 8% a year, interest compounded annually. How much will she have after 3 years, and how much interest does she earn?

Solution: Amount = $P(1 + r/100)^n$ = 500,000 × $(1.08)^3$. $(1.08)^2$ = 1.1664; 1.1664 × 1.08 = 1.259712. Amount = 500,000 × 1.259712 = ₦629,856. Interest = ₦629,856 − ₦500,000 = ₦129,856.

WORKED EXAMPLE 6.2

The banks in an economy must keep a cash reserve of 10% of deposits. A new cash deposit of ₦200,000 is made. Calculate the maximum total deposits that the banking system can create and the amount of credit created.

Solution: Maximum total deposits = initial deposit ÷ reserve ratio = ₦200,000 ÷ 0.10 = ₦2,000,000. Credit created = total deposits − initial deposit = ₦2,000,000 − ₦200,000 = ₦1,800,000.

WORKED EXAMPLE 6.3

A trader has an overdraft limit of ₦300,000. She is overdrawn by ₦120,000 for 20 days. The bank charges 24% a year on the amount overdrawn. Find the interest (use 365 days to a year, correct to the nearest kobo).

Solution: Interest = 120,000 × 24/100 × 20/365 = 28,800 × 20/365 = 576,000/365 = ₦1,578.08.

WORKED EXAMPLE 6.4

A firm's cash book shows a bank balance of ₦85,000. Comparing it with the bank statement, the accountant finds (i) a cheque for ₦12,000 issued to a supplier has not yet been presented; (ii) a lodgement of ₦20,000 made on the last day is not yet shown by the bank; (iii) bank charges of ₦1,500 appear on the statement but not in the cash book. What is the balance on the bank statement?

Solution: Adjust the cash book: ₦85,000 − ₦1,500 = ₦83,500. To move from the bank balance to this figure, the bank balance must be raised by the unpresented cheque (the bank has not yet paid it) and lowered by the uncredited lodgement. Bank balance + ₦20,000 − ₦12,000 = ₦83,500, so the bank balance = ₦83,500 − ₦20,000 + ₦12,000 = ₦75,500. Check: ₦75,500 + ₦20,000 − ₦12,000 = ₦83,500.

WORKED EXAMPLE 6.5

A company is granted a one-year loan of ₦2,000,000 at 18% simple interest, with a management fee of 1% of the loan deducted at the outset. Find the effective rate of interest on the money actually received.

Solution: Interest = 18% × ₦2,000,000 = ₦360,000. Fee = 1% × ₦2,000,000 = ₦20,000. Money received = ₦2,000,000 − ₦20,000 = ₦1,980,000. Total cost = ₦360,000 + ₦20,000 = ₦380,000. Effective rate = ₦380,000 ÷ ₦1,980,000 × 100 = 19.2% (to 1 decimal place).

Exercise 6.1

1. State three weaknesses of barter.
2. List four qualities that good money should possess.
3. Distinguish between a current account and a savings account.
4. What is the effect of crossing a cheque?
5. Calculate the compound interest on ₦250,000 for 2 years at 10% a year, compounded annually.
6. If the cash reserve ratio is 20% and a bank receives a new deposit of ₦500,000, what is the maximum total of deposits that can be created?
7. State four functions of the Central Bank of Nigeria.
8. Explain how the sale of government securities by the CBN affects the money supply.
9. A customer is overdrawn by ₦90,000 for 30 days at 20% a year. Find the interest, using 365 days a year, to the nearest naira.
10. A bank statement shows ₦64,000. The cash book shows ₦70,500, but it has not yet recorded bank charges of ₦500 and a direct debit of ₦6,000. Find the corrected cash book balance and whether the two balances agree.
11. State two reasons for which a bank may dishonour a cheque.

12. What is a domiciliary account, and who would use one?

Answers to Exercise 6.1

1. Any three: double coincidence of wants, no common measure of value, indivisibility of some goods, difficulty of storing wealth, difficulty of deferred payment.
2. Any four: general acceptability, durability, portability, divisibility, homogeneity, stability of value, scarcity.
3. A current account is for frequent withdrawals by cheque or transfer, usually pays no interest and carries charges; a savings account is for saving, pays interest and limits the number of withdrawals.
4. It can be paid only into a bank account, not cashed over the counter, so it is safer if lost or stolen.
5. 250,000 × $(1.1)^2$ = 250,000 × 1.21 = ₦302,500; interest = ₦52,500.
6. ₦500,000 ÷ 0.20 = ₦2,500,000.
7. Any four: issues currency, banker to government, banker to banks, lender of last resort, controls money supply and interest rates, manages external reserves, supervises banks.
8. Buyers pay banks' reserves to the CBN, so banks have less cash to lend and the money supply falls.
9. 90,000 × 20/100 × 30/365 = 18,000 × 30/365 = 540,000/365 = ₦1,479 (to the nearest naira; 1,479.45).
10. Corrected cash book = ₦70,500 − ₦500 − ₦6,000 = ₦64,000, which equals the bank statement balance, so they agree.
11. Any two: insufficient funds, signature differs, cheque stale, post-dated, altered without confirmation, amount in words and figures differ, payment countermanded.
12. An account held in foreign currency; used by importers, exporters and people who receive foreign money.

6.9 Further points for the examination

Money supply and inflation

Inflation is a sustained rise in the general level of prices, which means that each naira buys less. It weakens money's role as a store of value and as a standard of deferred payment, because lenders are repaid in money that is worth less than when they lent it. **Deflation** is a sustained fall in prices. Inflation is commonly measured by the consumer price index, which tracks the cost of a typical basket of goods and services. Among its causes are too much money in circulation (demand-pull), rising costs of production (cost-push) and imported inflation caused by a weak currency. The CBN's instruments act chiefly on the quantity of money and credit, and the government's fiscal policy of taxation and spending also helps.

Clearing

When Mrs Ade pays a supplier by cheque drawn on a different bank, the cheques received by each bank during the day are collected and the banks settle the net balance between themselves. This process is called **clearing**, and in Nigeria it is carried out through a central clearing arrangement supported by the CBN and the interbank system. The banks' balances with the CBN are adjusted by the net amounts, without any cash moving. Today most clearing is electronic through cheque image exchange and instant payment platforms.

Exercise 6.2

1. State one reason why a bank cannot lend all of its deposits.
2. Which of these is not a function of money: medium of exchange, store of value, barter, measure of value?
3. Distinguish between a bank draft and a cheque.

Answers to Exercise 6.2

1. Depositors may demand cash at any time, so the bank must keep a reserve to meet withdrawals and to satisfy the regulatory reserve ratios.
2. Barter, which is a method of exchange without money.
3. A draft is drawn by a bank and is guaranteed because the customer has paid in advance; a cheque is drawn by a customer on his account and may be dishonoured if funds are insufficient.

Chapter summary

- Barter suffers from the need for a double coincidence of wants, the lack of a measure of value, indivisibility and difficulty of storing wealth; money solves these problems.
- Money functions as a medium of exchange, measure of value, store of value and standard of deferred payment; good money is acceptable, durable, portable, divisible, uniform, stable and scarce.
- Commercial banks accept deposits, lend, operate payment systems and offer many services; accounts include current, savings, fixed deposit and domiciliary accounts.
- Banks must balance liquidity, profitability and safety, and they create credit; maximum deposits equal the initial deposit divided by the reserve ratio.
- A crossed cheque is payable only into a bank account; cheques are dishonoured for reasons such as insufficient funds, stale date or a signature that differs from the specimen.
- The CBN issues currency, banks the government and the banks, acts as lender of last resort, supervises banks and conducts monetary policy through the MPR, cash reserve ratio, liquidity ratio and open market operations.
- Other institutions include merchant, development, microfinance, mortgage and payment service banks; the NDIC insures deposits and NIBSS runs the

interbank payment platforms.

- Electronic channels such as ATMs, POS, mobile and USSD banking widen access but bring security risks.

Chapter 7: Insurance

Every business and every household lives with the possibility of sudden loss. A trader in Onitsha Main Market may lose her whole stock to a night fire. A commercial bus driver in Kano may cause an accident that injures several passengers. A family in Port Harcourt may lose its only earner without warning. None of these events can be predicted for any particular person, yet each is certain to happen to somebody in a large population. Insurance is the commercial arrangement that turns this statistical certainty into individual security: many people contribute small, certain amounts so that the few who suffer loss can be compensated from the common pool. This chapter explains what insurance is, how it works, the principles that govern it, the main types of policy, the Nigerian insurance industry, and the calculations that candidates are expected to perform.

7.1 Risk and the need for insurance

Risk is the possibility that an event will occur and cause a loss. It is important to separate two kinds of risk. A **speculative risk** offers the chance of gain as well as loss: a farmer who buys a large quantity of yam seedlings hoping that prices will rise may profit or lose depending on the market. A **pure risk** offers only the chance of loss or no loss: a shop either burns down or it does not, and no one gains by the fire. Insurers deal almost entirely in pure risks, because a speculative risk is a matter of business judgement rather than chance.

Not every pure risk can be insured. A risk is **insurable** when the following conditions are met:

- The person seeking cover has an **insurable interest** in the subject matter, meaning that he or she would suffer a real financial loss if it were damaged or destroyed.
- The loss can be measured in money, so that fair compensation can be calculated.

- The event insured against must be uncertain: it may or may not occur, and it must not be deliberately caused by the insured. (Death is certain, but its timing is not, which is why life assurance is possible.)
- There must be a large number of similar risks, so that the insurer can predict losses with reasonable accuracy using the law of averages.
- The event must be outside the control of the insured and must not be against the law or public policy.

The benefits of insurance

- **Security and peace of mind.** The insured knows that a disaster will not ruin the household or the firm.
- **Encouragement of enterprise.** Merchants, shippers and manufacturers are willing to take on larger ventures when the physical risks are covered.
- **Mobilisation of savings.** Premiums collected by insurers are invested in government securities, shares, property and loans, which provides capital for the economy. Life policies also act as a form of long-term saving.

7.2 How insurance works

The **insurer** (also called the **underwriter**) is the company that accepts the risk. The **insured** (or **policyholder**) is the person who is covered. The amount paid for cover is the **premium**, usually paid yearly, half-yearly or monthly. The written contract is the **policy**, and the thing protected (a building, a vehicle, a life, a cargo) is the **subject matter**. The maximum amount the insurer will pay is the **sum insured**. A request for payment after a loss is a **claim**.

The principle behind the business is **pooling of risks**. Suppose 10,000 shop owners each pay a premium of ₦20,000 a year against fire. The insurer collects ₦200,000,000. If experience shows that about 15 of every 10,000 shops suffer a fire each year, with an average loss of ₦8,000,000, the expected claims are 15 × ₦8,000,000 = ₦120,000,000. The remaining ₦80,000,000 pays the insurer's expenses,

commission and reserves, and leaves a profit. Each shop owner pays a small known sum to avoid the small chance of a huge loss. The insurer relies on actuaries, specialists in statistics and probability, to calculate the correct premium from past records of losses.

Steps in taking out a policy

1. The person approaches an insurance company directly, or through an **agent** (who represents the insurer and earns commission) or a **broker** (an independent professional who represents the client and finds the best cover among several insurers).
2. The applicant completes a **proposal form**, giving every fact that may influence the insurer's decision: the property's value, location, use and previous losses, or the applicant's age and health.
3. On acceptance, the insurer may issue a **cover note**, a temporary document giving immediate protection until the formal policy is ready.
4. When the first premium is paid, the **policy** is issued and the contract is in force.
5. When a loss occurs, the insured notifies the insurer promptly and completes a **claim form**. A **loss adjuster** may investigate and assess the amount of the loss, and the insurer then settles the claim.

7.3 The principles of insurance

Insurance contracts follow special rules, because the insurer cannot check every fact for itself and because the contract must never become a way of making profit from misfortune. The six principles below are basic.

1. Insurable interest

The insured must stand to lose financially if the subject matter is damaged, destroyed or lost. Ownership of a house, a financial stake in a business, or a legal liability all create insurable interest. You may insure your own life and your spouse's life, a parent may insure a child, and an employer may insure key employees. You cannot insure

your neighbour's car or a stranger's house, because you would lose nothing by its destruction; such a contract would be a wager, and the law treats it as void. In *property* insurance the interest must exist at the time of the loss. In *life* assurance it must exist at the time the policy is taken out.

2. Utmost good faith (uberrima fides)

Both parties must disclose every material fact honestly. A **material fact** is one that would influence the insurer's decision to accept the risk or to fix the premium. The applicant knows the facts about his own health or property, so he must volunteer them even if no question is asked. If a driver hides the fact that he has had three accidents in two years, or an applicant for a life policy conceals a serious illness, the insurer may treat the contract as void and refuse to pay.

3. Indemnity

To **indemnify** is to restore the insured to the same financial position that he occupied just before the loss, no better and no worse. A person must not profit from a claim. The insurer therefore pays the actual value of the loss or the sum insured, whichever is lower. Suppose a second-hand generator worth ₦450,000 is insured for ₦600,000. If it is stolen, the insurer pays only ₦450,000. Indemnity may be given by cash payment, repair, replacement or reinstatement. The principle applies to property and liability insurance but **not to life assurance**, because no one can put a monetary value on a human life; the full sum assured is paid on death.

4. Subrogation

After the insurer has indemnified the insured, it takes over the insured's legal rights concerning the loss. If a negligent driver damages your insured car, and your insurer pays you, the insurer may sue the negligent driver to recover its outlay. Likewise, if a damaged car is paid for as a total loss, the wreck becomes the property of the insurer, which may sell it as salvage. Subrogation is the way the principle of indemnity is

enforced, because it prevents the insured from claiming twice for the same loss, once from the insurer and again from the person who caused it. It applies to indemnity contracts only, not to life assurance.

5. Contribution

A person may insure the same property with two or more insurers. This is lawful (**double insurance**), but he cannot collect more than the loss in total. The insurers share the claim in proportion to the sums each has insured, and the insured is paid no more than his actual loss. If the insured claims in full from one insurer, that insurer may recover the proportionate shares from the others. Contribution, like subrogation, supports indemnity.

6. Proximate cause

When a loss follows a chain of events, the insurer is liable only if the **proximate (nearest, dominant) cause** of the loss is an event covered by the policy. If a fire policy covers fire but excludes war damage, and a bomb starts a fire that destroys a warehouse, the proximate cause is the explosion, an excluded peril, so the claim fails. If lightning starts a fire in an insured shop and firefighters' water ruins the stock, the proximate cause is the fire, so the loss from water is covered too.

> **Key point.** Indemnity, subrogation and contribution apply to property and liability insurance. Life assurance is not an indemnity contract, so subrogation and contribution do not apply, and a person may hold several life policies at once and collect on all of them.

The average clause

Many property policies contain an **average clause** that deals with under-insurance. If the property is insured for less than its true value, the insured is treated as bearing part of the risk himself and receives only a proportion of any partial loss:

Payment = (Sum insured ÷ Value of property) × Loss

This is fair to the insurer, who has been paid a premium on a smaller amount than the real risk. The payment can never exceed the sum insured or the actual loss.

7.4 Types of insurance

Life assurance

Life assurance pays a sum of money on the death of the person assured, or on reaching a stated age. The main forms are the following.

- **Whole life policy.** The sum assured is paid on the death of the assured, whenever it happens. Premiums are paid throughout life (or until a stated age), and the money goes to the family or other named beneficiaries.
- **Term (temporary) policy.** Cover lasts for a fixed period, for instance 10 or 20 years. The sum is paid only if death occurs within that period; otherwise nothing is paid. Premiums are low because the insurer may never pay. It suits a person with a loan or young children for a limited period.
- **Endowment policy.** The sum assured is paid at the end of a stated number of years, or on earlier death. It is both protection and saving, so its premiums are higher than those of a term policy.
- **Annuity.** The insured pays a lump sum (or a series of premiums) to the insurer, which then pays a regular income, for example monthly, for the rest of his life. It converts capital into a pension.
- **Group life.** An employer insures all or most of its employees under one policy, usually at lower cost per head. Employers in Nigeria are required by the pension law to maintain such cover for their employees.

Endowment and whole life policies build up a **surrender value**: if the holder stops paying premiums after some years, the insurer will pay a reduced sum for cancelling the policy. Policies may be **with-profit** (the holder shares in the insurer's profits through bonuses) or **without-profit** (fixed sum, lower premium).

Fire insurance

Fire insurance covers damage to buildings, stock, machinery and furniture caused by fire, and often by lightning and explosion. The policy usually covers damage by water used in extinguishing the fire. Fire policies are indemnity contracts and normally include the average clause. Consequential loss (or business interruption) cover pays the profit lost, and the wages and rent still to be met, while the business is closed after a fire.

Motor vehicle insurance

Motor insurance has three main classes:

- **Third party.** Covers the insured's legal liability for injury to other people and damage to their property. It does not pay for the insured's own car. It is **compulsory** for every vehicle used on Nigerian roads.
- **Third party, fire and theft.** Third party cover, with the insured's own car also covered against fire and theft.
- **Comprehensive.** The widest cover. It includes third party risks and also damage to the insured's own vehicle, whether or not he was at fault, together with fire and theft, and sometimes medical expenses.

Motor premiums depend on the value, age and use of the vehicle, the age and experience of the driver, and the claims record. Careful drivers earn a **no-claim discount (bonus)**: a percentage reduction of the premium for each year without a claim.

Marine insurance

Marine insurance, the oldest branch, covers ships and cargo against perils of the sea such as storms, collision, stranding, fire and piracy. It has three divisions: **hull** insurance (the vessel itself), **cargo** insurance (the goods carried) and **freight** insurance (the shipping charges that would be lost if the cargo does not arrive). A **general average** loss arises when part of a cargo is deliberately thrown overboard to save the ship; all the owners of ship and cargo then share the loss.

Other general insurance

- **Burglary (theft) insurance** covers loss of property stolen after forced entry, and damage done in the break-in.
- **Personal accident insurance** pays compensation for injury, disability or death caused by accident.
- **Fidelity guarantee insurance** protects an employer against loss of money or goods through dishonesty by employees such as cashiers, storekeepers and drivers.
- **Employer's liability (workmen's compensation) insurance** covers an employer's legal liability to pay compensation to workers injured or made ill by their work.
- **Public liability insurance** covers the legal liability of a hotel, a shop or a school for injury or damage suffered by members of the public on its premises.
- **Professional indemnity insurance** protects doctors, lawyers, engineers, architects and accountants against claims arising from negligence in their work.
- **Agricultural insurance** covers crops and livestock against drought, flood, pests and disease. It is provided in Nigeria by the Nigerian Agricultural Insurance Corporation (NAIC), a government institution that helps farmers.

7.5 Insurance in Nigeria

Insurance in Nigeria is regulated by the **National Insurance Commission (NAICOM)**, set up in 1997. Its tasks include licensing insurers, brokers and loss adjusters, setting minimum capital for insurers, protecting policyholders and ensuring that claims are paid properly. The principal law is the **Insurance Act 2003**, which also lists classes of insurance that are compulsory.

The main types of **compulsory insurance** in Nigeria include:

- third party motor insurance for all vehicles;
- insurance of buildings under construction (to cover collapse during building work);

- public liability insurance for owners or occupiers of public buildings such as markets, hospitals, hotels and schools;
- employers' liability insurance and group life cover for employees;
- professional indemnity insurance for certain professionals, such as medical practitioners;
- insurance of aircraft operated commercially, and cover for goods imported into the country.

Compulsory insurance protects third parties and the public who may otherwise remain uncompensated, and it widens the base of the industry. Even so, the number of Nigerians who hold policies remains small compared with the population, partly because of low incomes, distrust caused by delayed claims, and ignorance of the benefits.

Reinsurance occurs when an insurer, having accepted a risk too large to carry alone, passes part of it to another insurer (a reinsurer), which receives part of the premium. Reinsurance spreads very large risks, such as oil installations and aircraft, over many companies and countries. **Co-insurance** is different: several insurers jointly accept one risk, each taking a stated share from the start.

7.6 Worked examples

WORKED EXAMPLE 7.1

Mrs Adeyemi insures her shop stock in Ibadan, valued at ₦8,000,000, for ₦6,000,000 under a policy with an average clause. A fire destroys goods worth ₦2,000,000. How much does the insurer pay, and how much does she bear herself?

Solution: The stock is under-insured, so the average clause applies. Payment = (6,000,000 ÷ 8,000,000) × 2,000,000 = 0.75 × 2,000,000 = ₦1,500,000. She bears 2,000,000 − 1,500,000 = ₦500,000 of the loss herself. Had the stock been insured for its full ₦8,000,000, the insurer would have paid the entire ₦2,000,000.

WORKED EXAMPLE 7.2

Mr Okafor owns goods worth ₦750,000. He insures them against fire with Company A for ₦500,000 and with Company B for ₦250,000. A fire causes a loss of ₦600,000. How much does each company pay?

Solution: The total of the sums insured is 500,000 + 250,000 = ₦750,000, which equals the value of the goods, so there is no under-insurance and the average clause is not needed; the loss is shared by contribution. Company A pays (500,000 ÷ 750,000) × 600,000 = (2/3) × 600,000 = ₦400,000. Company B pays (250,000 ÷ 750,000) × 600,000 = (1/3) × 600,000 = ₦200,000. Check: 400,000 + 200,000 = ₦600,000, the exact loss, so Mr Okafor is indemnified and makes no profit.

WORKED EXAMPLE 7.3

Mallam Bello insures his saloon car, with a market value of ₦3,200,000, on a comprehensive policy at a premium rate of 5% of the value. He has earned a no-claim discount of 30%. (a) Calculate the premium he must pay. (b) If the car is later declared a total loss, when its market value is ₦2,800,000 and the sum insured is ₦3,200,000, what does the insurer pay?

Solution: (a) Basic premium = 5% × 3,200,000 = 0.05 × 3,200,000 = ₦160,000. Discount = 30% × 160,000 = ₦48,000. Premium payable = 160,000 − 48,000 = ₦112,000. (b) By the principle of indemnity, the insurer pays the actual value of the loss, not the higher sum insured, so it pays ₦2,800,000. By subrogation, the wreck becomes the insurer's property.

WORKED EXAMPLE 7.4

State which principle of insurance is involved in each case. (a) Chidi insures his neighbour's shop. When it is burnt down, the insurer refuses to pay. (b) A man conceals his heart condition when applying for a life policy. (c) The insurer of a lorry destroyed by a negligent driver pays the owner and then sues the driver. (d) A shop worth ₦1,000,000 is insured with two insurers for ₦1,000,000 each, and after a ₦400,000 loss the owner receives ₦400,000 in total.

Solution: (a) Insurable interest: Chidi has no financial interest in his neighbour's shop, so the contract is not enforceable. (b) Utmost good faith: the heart condition is a material fact that has been withheld, so the insurer may avoid the policy. (c) Subrogation: the insurer takes over the owner's right to sue the wrongdoer. (d) Contribution (and indemnity): the two insurers share the ₦400,000, each paying ₦200,000, since the sums insured are equal; the owner cannot profit from his double insurance.

Exercise 7.1

1. Distinguish between a pure risk and a speculative risk, and give one example of each.
2. State four conditions that a risk must satisfy to be insurable.
3. A factory valued at ₦40,000,000 is insured for ₦30,000,000 with an average clause. A fire causes a loss of ₦12,000,000. How much is the insurer liable to pay?
4. Explain why the principle of indemnity does not apply to life assurance.
5. A motor premium is ₦90,000 before discount. After four claim-free years the driver gets a 40% no-claim discount. What does he pay?
6. Goods worth ₦900,000 are insured with X for ₦600,000 and with Y for ₦300,000. A loss of ₦450,000 occurs. How much does each insurer pay?
7. Differentiate between a term policy and an endowment policy.
8. Name the principle that is breached when a person deliberately fails to tell the insurer that his building has been struck by fire twice before.
9. List three types of insurance that are compulsory in Nigeria and explain why compulsory cover is necessary.
10. A car is insured for ₦5,000,000 but its market value on the day it is stolen is ₦4,200,000. Find the insurer's payment, and state the principle involved.
11. Explain the difference between reinsurance and co-insurance.
12. A fire insurance premium rate is 0.4% of the sum insured. Calculate the premium on a warehouse insured for ₦25,000,000.

Answers to Exercise 7.1

1. A pure risk offers only the chance of loss (for example, fire destroying a shop); a speculative risk offers the chance of gain or loss (for example, buying goods hoping prices will rise). Only pure risks are normally insurable.

2. Any four of: insurable interest; loss measurable in money; uncertainty of the event; a large number of similar risks; the event is outside the control of the insured; the event is lawful.
3. Payment = (30 ÷ 40) × 12,000,000 = 0.75 × 12,000,000 = ₦9,000,000.
4. A human life cannot be given a monetary value, so there is no loss to be restored. The full sum assured is paid on death or maturity, whatever the person was worth.
5. Discount = 40% × 90,000 = ₦36,000; he pays 90,000 − 36,000 = ₦54,000.
6. The total insured equals the value, so no average applies. X pays (600/900) × 450,000 = ₦300,000; Y pays (300/900) × 450,000 = ₦150,000. Total ₦450,000.
7. A term policy pays only if death occurs within the stated period and pays nothing if the assured survives it, so its premiums are low. An endowment policy pays at the end of the period or on earlier death, so it is saving as well as protection, and its premiums are higher.
8. Utmost good faith, because previous fires are material facts that must be disclosed.
9. Any three of: third party motor; buildings under construction; public liability for public buildings; employers' liability or group life; professional indemnity; aviation. Compulsory cover is necessary so that innocent third parties are compensated and the insurance base is widened.
10. The insurer pays ₦4,200,000, the actual value, not the sum insured. Principle: indemnity.
11. In reinsurance, an insurer passes part of a risk it has already accepted to another insurer; in co-insurance, several insurers share a risk jointly from the outset, each issuing cover for a stated share.
12. Premium = 0.4% × 25,000,000 = 0.004 × 25,000,000 = ₦100,000.

Chapter summary

- Insurance pools the contributions of many people so that the few who suffer a loss can be compensated; it deals with pure risks that are measurable, uncertain and numerous.

- The insurer accepts the risk for a premium; the insured holds a policy; the sum insured is the maximum payable; a claim is made after a loss.
- The principles are insurable interest, utmost good faith, indemnity, subrogation, contribution and proximate cause; indemnity, subrogation and contribution do not apply to life assurance.
- The average clause reduces claims where property is under-insured: payment = (sum insured ÷ value) × loss.
- Life assurance includes whole life, term, endowment, annuity and group life; general insurance includes fire, motor, marine, burglary, accident, fidelity guarantee, liability and agricultural cover.
- Motor insurance takes three forms: third party, third party fire and theft, and comprehensive; third party cover is compulsory, and a no-claim discount rewards careful drivers.
- NAICOM regulates the industry under the Insurance Act 2003; compulsory classes protect the public; reinsurance spreads very large risks.
- Insurers invest premiums and so provide capital for the economy, while insurance gives security, supports credit and encourages enterprise.

Chapter 8: Transport and Communication

Goods are rarely used where they are made. The cocoa grown near Ile-Ife is shipped from Lagos to chocolate factories overseas, onions from Sokoto are eaten in Enugu, and crude oil pumped in the Niger Delta is refined hundreds of kilometres away. Before any such sale can take place, two things must happen: the goods must be physically moved from the producer to the buyer, and the parties must exchange information about prices, quantities, quality and payment. The first is the task of **transport**, and the second is the task of **communication**. Both are called *aids to trade*, because they do not themselves produce or sell goods, but without them trade would be small and local. This chapter studies the modes of transport and their relative merits, the problems of transport in Nigeria, and the methods and media of communication, including postal and telecommunication services.

8.1 The meaning and importance of transport

Transport is the movement of persons and goods from one place to another. In commerce its chief function is to create **place utility**: a bag of garri in a village in Ogun State has little value to a family in Abuja, but once it has been carried to the capital it can be sold at a good price. Transport also creates **time utility**, since faster transport delivers perishable goods before they spoil, and supports trade in other ways.

- It widens the market. Producers can sell over a larger area, and consumers can buy goods that are not made nearby.
- It makes **specialisation** and the division of labour possible, because each area can concentrate on what it produces best and exchange the surplus.
- It supplies factories with raw materials and carries finished goods to wholesalers and retailers, thereby linking the stages in the chain of distribution.

- It helps to stabilise prices, by moving goods from surplus areas to areas of shortage.
- It brings employment (drivers, mechanics, pilots, dockworkers) and government revenue, and encourages the growth of towns and ports.
- It encourages national unity and mobility of labour, and supports tourism.

8.2 Modes of transport

Road transport

Road transport uses lorries, trucks, vans, buses, taxis, tricycles (keke) and motorcycles (okada). It carries the greatest share of goods and passengers in Nigeria. Its main advantages are that it is **flexible**, offering door-to-door delivery without trans-shipment; it is suitable for short and medium distances and for small loads; it needs less capital than rail; and vehicles may be hired or owned by individuals. Its disadvantages are high cost per tonne over long distances, limited capacity (a lorry carries far less than a train or ship), road accidents, poor roads, heavy traffic, and damage to roads by overloaded vehicles. Roads are the only form of transport to many villages, so they remain the backbone of internal trade.

Rail transport

The railway is run by the Nigerian Railway Corporation (NRC). The first line, from Lagos to Ibadan, opened in the early twentieth century, and the system was extended to Kano and Port Harcourt. Modern lines now include the Lagos–Ibadan line, the Abuja–Kaduna line and the Warri–Itakpe line. Rail suits **bulky, heavy goods over long distances** (cement, grain, coal, petroleum, containers), where it is cheaper per tonne-kilometre than road. It can carry very large loads, is safer than the road for freight, and is not affected by traffic jams. Its disadvantages are that it is **inflexible**, because it runs only along fixed tracks and stations; goods have to be transferred to lorries at each end; the cost of building track, stations and rolling stock is very high; and delays and poor maintenance have often reduced its reliability.

Water transport

Water transport is of two kinds.

- **Inland waterways** use rivers, creeks and lagoons: the Niger, the Benue and the Lagos lagoon, with canoes, barges and ferries. The Nigerian Inland Waterways Authority (NIWA) is responsible for developing them. They are cheap, and are useful for carrying sand, timber, fish and people in the Niger Delta, but they are slow, depend on water levels (some rivers are shallow in the dry season) and reach limited areas.
- **Sea transport** carries nearly all of Nigeria's international trade by volume. Vessels include tankers (oil), bulk carriers (grain, ore), container ships and passenger liners. The main seaports are Apapa and Tin Can Island in Lagos, Lekki Deep Sea Port, Onne and Port Harcourt, Warri, Calabar and Sapele, managed by the Nigerian Ports Authority (NPA). Sea transport can carry enormous loads, is the cheapest means for very long distances, and links Nigeria with the whole world. It is slow, subject to weather, and port congestion can cause long delays, which lead to *demurrage* charges when ships or containers stay beyond the permitted time.

Air transport

Air transport is the **fastest** mode. It is regulated by the Nigerian Civil Aviation Authority (NCAA), while the Federal Airports Authority of Nigeria (FAAN) manages the main airports, such as those in Lagos, Abuja, Kano and Port Harcourt. Its advantages are speed, safety of goods, the ability to reach remote places and to cross rivers and mountains, and little damage from handling, which suits valuable, light, urgent and perishable cargo such as medicines, jewellery, fresh flowers and documents. Its disadvantages are very high cost, limited capacity, dependence on weather, the need for expensive airports, and the fact that bulky, low-value goods cannot bear the freight.

Pipeline transport

A pipeline carries liquids and gases such as crude oil, refined products and natural gas, often over long distances, by pumping them through sealed pipes. Nigeria has many oil and gas pipelines run by the NNPC and its partners. Pipelines have low running costs, work continuously and are not affected by traffic, and there is little loss in transit. The initial cost is very high, they can carry only fluids, they cannot be moved once laid, and they are exposed to sabotage, vandalism and leakage, which cause fires and environmental damage.

Mode	Best suited to	Main strength	Main weakness
Road	Short and medium distances, small loads	Door-to-door, flexible	High cost for long hauls; accidents
Rail	Heavy bulk goods over long distances	Large capacity, low cost per tonne-km	Fixed routes; high capital cost
Inland water	Heavy, non-urgent goods near rivers	Cheap	Slow; limited routes
Sea	International bulk cargo	Huge capacity, cheapest per tonne over long distances	Slow; port delays
Air	Urgent, valuable, light goods	Speed	Very costly; small capacity
Pipeline	Oil, gas, water	Continuous, low running cost	Fixed; only fluids; vandalism

8.3 Choosing a mode of transport

A trader or manufacturer selects a mode by balancing several factors.

- **The nature of the goods.** Perishable goods such as fish, tomatoes and fresh meat need speed or refrigeration; fragile goods need careful handling; bulky goods need cheap, high-capacity transport; dangerous goods such as fuel need special vehicles.
- **Distance and the location** of both ends. Some places have no rail line or port.

- **Cost.** The total cost includes freight, packing, insurance, loading and the cost of delays.
- **Speed and urgency.** A late delivery may cost more than the saving from a cheap route.
- **Safety and reliability** of the route and the carrier, including risk of theft and breakage.
- **Volume** of goods. Large consignments favour rail or ship, small parcels favour road.

> **Key point.** A common examination question asks which mode of transport best suits a given cargo. The answer: bulk goods over long distances go by rail or ship; perishable or urgent high-value goods go by air; door-to-door delivery of ordinary goods over moderate distances goes by road; and oil and gas go by pipeline or tanker. Always give a reason.

Transport documents

Whatever mode is chosen, a document records the contract between consignor and carrier. By road or rail it is the **consignment note**; by sea it is the **bill of lading**, which acts as a receipt for goods, evidence of the contract of carriage and a document of title; by air it is the **air waybill**. Their use in foreign trade is explained in Chapter 10.

Problems of transport in Nigeria

- Poor roads, potholes and bridges, made worse by flooding and the weight of overloaded lorries, which raise vehicle repair costs and cause delays and accidents.
- Congestion at the ports and on the roads leading to them, with long queues of trucks.
- Over-reliance on road transport, because the railways and waterways were neglected for decades.

- High fuel prices and the cost of spare parts, which push up fares and freight charges.
- Insecurity and extortion, including robbery, kidnapping and illegal checkpoints.
- Poor maintenance, shortage of funds and inadequate planning, and dependence on imported vehicles and equipment.

Solutions include rebuilding and expanding the railways, dredging rivers, improving port efficiency and the roads leading to them, enforcing axle-load limits, strengthening the Federal Road Safety Corps (FRSC) and encouraging private investment through concessions and partnerships.

8.4 Communication

Communication is the exchange of information, ideas and instructions between a sender and a receiver, with the aim that the message is understood. In commerce it connects producers, traders, banks, insurers, transporters and customers. Good communication helps businesses to quote prices, receive orders, advertise, arrange payment and settle complaints quickly, while poor communication causes mistakes, delays and loss of customers.

The communication process

The **sender** forms a message and puts it into a form that can be sent (*encoding*). It passes along a **channel** (a letter, a telephone call, a text message, a radio broadcast) to a **receiver**, who interprets it (*decoding*). The receiver's reply is **feedback**, which tells the sender whether the message was understood. **Noise**, anything that distorts the message (a bad telephone line, unclear writing, language differences, a distracted listener), can interfere at any point.

Methods of communication

- **Oral (spoken):** face-to-face talk, meetings, interviews, telephone calls and voice notes. It is quick, personal and gets immediate feedback, but leaves no permanent record unless it is recorded.

- **Written:** letters, memoranda, reports, notices, invoices, emails and text messages. It gives a permanent record and can be checked, but it is slower and gets no immediate feedback.
- **Visual and graphic:** pictures, charts, signs, posters and video, which can show complicated facts clearly.
- **Electronic:** messages sent by telephone, radio, television, fax, email and the internet.

Within a firm, communication may be **formal** (through memos and official meetings, along the chain of command) or **informal** (casual talk, sometimes called the grapevine). Messages go downward (instructions to workers), upward (reports to managers) and horizontal (between colleagues).

Barriers to communication

Communication fails for many reasons: language and cultural differences; use of technical words that the receiver does not know; poor hearing or unclear handwriting; noise and poor network; mistrust between the parties; information overload; and the wrong choice of channel (for example, using a text message to explain a long contract). The remedies are to use simple and clear words, to choose a suitable channel, to ask for feedback and to keep a written record of important agreements.

8.5 Postal services

The Nigerian Postal Service (**NIPOST**) is the government agency responsible for mail. It collects, sorts, transports and delivers letters, parcels and documents throughout the country and, through agreements with other countries' postal administrations, around the world. Its services include the following.

- **Ordinary letter and parcel post.** Letters and parcels are delivered at standard rates according to weight.
- **Registered post.** The sender pays an additional fee, receives a receipt, and the item is recorded at each stage; compensation is paid if it is lost. It is used for

valuable documents.

- **Express (speed) post.** A faster delivery service for urgent letters and parcels, with tracking.
- **Postal orders and money transfers.** A way of sending small sums safely to people who do not have bank accounts.
- **Post office boxes and bag services,** where customers collect their mail at the post office.
- **Philatelic services** (sale of stamps to collectors) and agency services for government departments.

NIPOST faces competition from private **courier companies** (such as DHL, FedEx and local firms), which offer fast door-to-door delivery at higher prices, and from email and other electronic means. Courier firms have succeeded because they are faster and more reliable than the traditional postal service.

8.6 Telecommunication services

Telecommunication means communication over distance by electrical or electronic means. The Nigerian Communications Commission (**NCC**) regulates the sector: it licenses operators, assigns frequencies, sets quality standards, protects subscribers and promotes competition. The main developments are these.

- **Fixed telephones** were provided by the former NITEL, but their number was always small.
- **Mobile (GSM) telephony,** launched in 2001, brought rapid growth; today operators such as MTN, Airtel, Glo and 9mobile serve most of the population, and voice calls, text messages and mobile data are all available. Mobile money and banking applications run on the same networks.
- **Broadcasting** by radio and television carries news, advertisements and public information to large audiences. The National Broadcasting Commission (NBC) regulates it.

- **Telex, telegram and fax** were once important for written messages but have been replaced by email and instant messaging.
- **The internet** gives email, video calls, social media, websites and online business; it is discussed further in Chapter 10.
- **Satellite services** allow long-distance communication, television, global positioning (GPS) and data links to places the cables do not reach.

The **benefits** of modern communication to commerce include faster negotiation and ordering, lower costs, wider markets, easier banking and payments, better coordination among branches, and job creation in telecommunications. Its **problems** in Nigeria include poor network quality in some areas, high data cost, unreliable electricity for base stations, vandalism of equipment, SIM-card fraud and cybercrime, and the need to register subscribers.

8.7 Worked examples

WORKED EXAMPLE 8.1

A trader in Lagos sends 40 bags of rice, each weighing 50 kg, to Kano. By road the freight is ₦95,000 per tonne. By rail it is ₦70,000 per tonne, plus ₦12,000 for haulage at each end. Which mode is cheaper, and by how much?

Solution: Total mass = 40 × 50 = 2,000 kg = 2 tonnes. Road cost = 2 × 95,000 = ₦190,000. Rail cost = 2 × 70,000 + 2 × 12,000 = 140,000 + 24,000 = ₦164,000. Rail is cheaper by 190,000 − 164,000 = ₦26,000. If the rice is needed urgently, however, the trader may still choose road, which is faster and delivers door to door.

WORKED EXAMPLE 8.2

A haulage firm in Ibadan sends a 22-tonne lorry to Maiduguri full of cement. The trip costs 450 litres of diesel at ₦1,000 per litre, ₦60,000 for the driver, and ₦40,000 for tolls and other expenses. Find the cost of moving one tonne.

Solution: Fuel = 450 × 1,000 = ₦450,000. Total cost = 450,000 + 60,000 + 40,000 = ₦550,000. Cost per tonne = 550,000 ÷ 22 = ₦25,000. If the lorry returned empty, this ₦25,000 would have to cover the whole round trip, which is why haulage firms try to find a return load.

WORKED EXAMPLE 8.3

A firm spends ₦480,000 on communication in a year. Telephone calls take 45% of the sum, internet and data take 25%, and the remainder is spent on postage and courier services. Find the amount spent on each item.

Solution: Telephone = 45% × 480,000 = 0.45 × 480,000 = ₦216,000. Internet = 25% × 480,000 = ₦120,000. Remainder = 100 − 45 − 25 = 30%, so postage and courier = 0.30 × 480,000 = ₦144,000. Check: 216,000 + 120,000 + 144,000 = ₦480,000.

WORKED EXAMPLE 8.4

Recommend, with reasons, the most suitable mode of transport for: (a) fresh tomatoes from Jos to Ibadan, (b) 500 tonnes of imported wheat from the port at Apapa to a mill in Kano, (c) an urgent box of vaccines from Abuja to Maiduguri.

Solution: (a) Road, preferably in a refrigerated or ventilated truck, because tomatoes are perishable, the farms are not on a rail line and the goods need door-to-door delivery. (b) Rail, if the route is available, because a huge bulk load over a long distance is cheapest by train; road is the alternative if the railway is not operating. (c) Air, because the vaccines are urgent, light, valuable and need rapid, controlled-temperature handling, so the high cost is justified.

WORKED EXAMPLE 8.5

Mr Eze orders a ₦6,000,000 consignment by telephone from a supplier. The supplier hears "sixty thousand" and delivers goods worth ₦60,000. Identify the barrier and suggest how to prevent such a mistake.

Solution: The cause is a communication failure in oral transmission, perhaps noise on the line, with no feedback or written record. To prevent it Mr Eze should have asked the supplier to repeat the amount (feedback), and confirmed the order in writing by email or on an order form, which gives a permanent record.

Exercise 8.1

1. Define transport and explain how it creates place utility.
2. State three advantages and two disadvantages of road transport.
3. Why is rail transport better suited than road to carrying bulk goods over long distances?
4. Name two inland waterways in Nigeria and two seaports.

5. A manufacturer sends 3 tonnes of goods. Road freight is ₦80,000 per tonne. Rail freight is ₦55,000 per tonne plus ₦10,000 per tonne for loading and unloading at both ends combined. Which is cheaper, and by how much?
6. State four factors that determine the choice of a mode of transport.
7. A lorry carries 20 tonnes at a total trip cost of ₦380,000. Find the cost per tonne.
8. Explain the function of a bill of lading.
9. List four problems of transport in Nigeria and suggest a solution to each.
10. Distinguish between registered post and ordinary post.
11. What is the role of the Nigerian Communications Commission?
12. Identify two barriers to communication and say how each might be overcome.

Answers to Exercise 8.1

1. Transport is the movement of persons and goods from one place to another. It creates place utility because goods made in one place become more valuable when moved to where people want them.
2. Advantages (any three): door-to-door delivery; flexibility; suitability for short distances and small loads; low capital needed. Disadvantages (any two): high cost over long distances; limited capacity; accidents; poor roads.
3. Rail has a large carrying capacity and a lower cost per tonne-kilometre, and it is not affected by traffic, so heavy bulk loads cost less to move than by lorry.
4. Rivers: Niger and Benue (the Lagos lagoon is also acceptable); seaports: any two of Apapa, Tin Can Island, Lekki, Onne, Port Harcourt, Warri, Calabar.
5. Road = 3 × 80,000 = ₦240,000. Rail = 3 × 55,000 + 3 × 10,000 = 165,000 + 30,000 = ₦195,000. Rail is cheaper by 240,000 − 195,000 = ₦45,000.
6. Any four of: nature of the goods; distance; cost; speed; safety; volume; availability of the route.
7. 380,000 ÷ 20 = ₦19,000 per tonne.

8. It is a receipt for goods shipped, evidence of the contract of carriage between shipper and shipowner, and a document of title to the goods.
9. For example: bad roads (repair and maintain them); port congestion (improve port efficiency); over-reliance on road (develop rail and waterways); insecurity (strengthen security on routes).
10. Registered post involves an extra fee, a receipt, tracking at each stage and compensation if the item is lost; ordinary post gives none of these.
11. The NCC licenses and regulates telecommunications operators, assigns frequencies, sets quality standards, protects consumers and promotes competition.
12. For example: noise or poor network (use another channel or repeat the message); language or technical jargon (use simple words and ask for feedback).

Chapter summary

- Transport creates place and time utility, widens markets and permits specialisation; communication enables the exchange of information on which trade depends.
- The modes are road (flexible, door to door), rail (bulk over long distances), water (cheap, slow, huge capacity at sea), air (fast and costly) and pipeline (oil and gas).
- The choice of mode depends on the nature of the goods, distance, cost, speed, safety and volume.
- Transport documents include the consignment note, the bill of lading and the air waybill.
- Transport problems in Nigeria include poor roads, port congestion, high fuel cost, insecurity and neglect of rail and waterways.
- The communication process involves a sender, a message, a channel, a receiver and feedback; noise and other barriers can spoil it.
- NIPOST provides ordinary, registered and express post, while the NCC regulates telecommunications, including mobile telephony and the internet;

courier firms compete with the postal service.

Chapter 9: Advertising and Consumer Protection

Walk through any Nigerian city and you meet advertising at every turn: billboards on the Third Mainland Bridge, jingles on radio, shop signs in the markets, banners on okada, sponsored posts on social media. Advertising brings the product to the customer's attention, and it is the means by which producers and sellers compete for sales. But the same customer who responds to an advertisement needs assurance that the product is safe, honestly described and fairly priced. That assurance is the business of consumer protection. This chapter examines the purpose, types and media of advertising, its benefits and criticisms, and the regulation of the industry, and then studies the rights of the consumer, the abuses that he suffers and the institutions that defend him.

9.1 Meaning and objectives of advertising

Advertising is any paid, non-personal communication through a medium by an identified sponsor that informs or persuades people to buy a product or accept an idea. Three features appear in the definition. First, it is *paid for*; a friend's recommendation is not advertising. Second, it is *non-personal*: the message is sent to many people through a medium, not delivered by a salesman face to face. Third, the *sponsor* is identified. Advertising is part of the wider activity of **promotion**, which also includes personal selling and sales promotion.

The objectives of advertising include the following:

- to inform people that a new product exists, where it can be bought and what it costs;
- to persuade buyers to prefer one brand over its competitors;
- to remind existing customers and keep the brand in their minds;
- to increase sales and so profit, and to win a larger share of the market;

- to build the reputation and goodwill of the firm (its *image*);
- to educate the public, for instance on the safe use of a product;
- to support the sales force and the retailers who stock the product.

9.2 Types of advertising

Advertisements may be classified by purpose or by sponsor.

- **Informative advertising** gives facts about a new or changed product: its features, price and outlets. It is common when a product is launched.
- **Persuasive (competitive) advertising** tries to win customers from rival brands by stressing superiority, such as lower price or better quality. It dominates in a market with many similar brands, such as soft drinks, detergents and telecom bundles.
- **Reminder advertising** keeps a well-known product in the public mind.
- **Generic (collective) advertising** is paid by a trade association to promote a whole product, such as milk or cement, instead of one brand.
- **Institutional (prestige) advertising** promotes the name of the organisation instead of a particular product, for example a bank's advertisement about its history and community projects.
- **Classified advertising** consists of short notices in the press, grouped under headings (vacancies, houses for rent, vehicles for sale, lost documents). **Display advertising** uses larger spaces with pictures and design.
- **Public-service advertisements** are issued by government and agencies, for example on immunisation or road safety, and are not intended for profit.

9.3 Media of advertising

A **medium** is the channel through which the advertising message reaches the audience. The principal media are as follows.

The press: newspapers and magazines

Newspapers (daily or weekly) and magazines carry both classified and display advertisements. Newspapers are timely, reach large readerships, allow detailed text and are suitable for local and national campaigns. They are short-lived (yesterday's paper is discarded), poorly suited for colour, and cannot reach people who cannot read. Magazines last longer and have better colour reproduction, and they reach specialised readers (women, farmers, motorists), but they are expensive and are published less often.

Radio

Radio reaches a very large audience, including the illiterate and people in rural areas, and it is cheap compared with television. Jingles and announcements in local languages are effective. The message is brief and invisible, the listener may switch off or be engaged in other tasks, and the product cannot be seen.

Television

Television combines sight, sound and movement, which makes it highly persuasive and suitable for showing how products work. Its disadvantages are the high cost of production and airtime, the brief duration of the message, the need for electricity and a set, and the fact that viewers often change channels during the break.

Outdoor advertising

Billboards, posters, neon and LED signs, bus shelters and vehicle branding give constant exposure to passers-by. They are good for brand recognition and repeating a short message. The message must be brief, weather and vandals can damage it, and it is impossible to measure its effect.

Cinema

Cinema offers a captive audience, colour and sound, but reaches only the people who attend and so is better for local campaigns.

Direct mail, handbills and leaflets

Messages are sent to carefully chosen individuals by post, email or messaging, or handed out in the street. They are personal and targeted, and effects can be measured, but they are often thrown away unread, and mailing lists are expensive to build.

Internet and social media

Websites, search engines, email, video platforms and social networks (such as Instagram, Facebook, TikTok and X) allow advertisers to target audiences by age, interest and location, to get immediate reaction, to measure clicks and sales, and to start at a low cost. They suit small businesses as well as large firms. Their limitations include the need for internet access, advertisement blockers, fake reviews, privacy concerns and clutter.

Other media

Window and shop displays, point-of-sale material, product packaging, trade fairs and exhibitions, sponsorship of events and sports, free samples, **word of mouth** and influencers also play a part. Trade fairs, such as the Lagos International Trade Fair, give producers a place to display products and meet buyers.

Medium	Main advantage	Main disadvantage
Newspaper	Wide, timely, detailed	Short life; poor for the illiterate
Magazine	Long life; targets specialist readers	Costly; infrequent
Radio	Cheap; reaches rural and illiterate people	No picture; fleeting
Television	Sight, sound and movement	Very costly; needs electricity
Billboard	Constant exposure	Message must be short
Direct mail	Personal and targeted	May be discarded
Internet and social media	Targeted, measurable, cheap to start	Needs internet; clutter

Choosing a medium

A firm chooses media by considering: the **product** (a machine for industrial users needs a trade magazine, a soft drink needs mass media); the **target audience** (age, income, language, location); the **cost** and the size of the budget; the **coverage** and number of people reached; **the nature of the message** (does it need pictures, demonstration or long explanation?); the **media used by competitors**; and the **legal restrictions** on advertisement of products such as tobacco and alcohol. A useful measure is the **cost per thousand** readers or viewers:

Cost per thousand = (Cost of the advertisement ÷ Number of people reached) × 1,000

9.4 Advertising agencies and regulation

Many firms employ an **advertising agency**, a specialist business that plans campaigns, writes the copy, designs the layout and artwork, produces the radio and television material, buys space and airtime from the media, and measures results. The agency earns a commission from the media and fees from the client. In Nigeria, the profession is regulated by the **Advertising Regulatory Council of Nigeria (ARCON)**, the successor to the Advertising Practitioners Council of Nigeria (APCON). Its tasks include registering practitioners and agencies, vetting advertisements before publication, and ensuring that advertisements are truthful, decent and legal. The Nigerian Code of Advertising Practice requires, for example, that claims be honest, that comparisons with competitors be fair, and that advertisements for children, health products and alcohol observe special rules.

9.5 Advantages and criticisms of advertising

Advantages. Advertising informs consumers about products and prices, helping them to choose; it raises sales, which allows **mass production** and lower cost per unit, and these savings may be passed on as lower prices; it supports the media by paying for

space and airtime, so newspapers and broadcasts can be cheap or free; it creates jobs in the creative, printing, media and production industries; it encourages competition and better quality; and it helps new products to enter the market.

Criticisms. Advertising costs are included in the price, so consumers pay for it; it may be misleading or exaggerated, persuading people to buy things they do not need; it may encourage materialism and wasteful spending; it can promote harmful goods such as tobacco; it may build monopolies where big firms drown out small ones; and it can offend taste or culture. Defenders answer that regulation controls false claims, and that the extra sales often lower unit costs by more than the cost of advertising.

> **Key point.** Distinguish *advertising* (paid, impersonal, through a medium), *personal selling* (face to face with the customer) and *sales promotion* (short-term inducements such as discounts, free samples, coupons, free gifts, trade fairs and competitions). All three are part of promotion.

9.6 Consumer protection

A **consumer** is a person who buys goods and services for his own use and not for resale. Consumers are generally in a weak position: a single buyer faces a large firm, and often cannot test the product, understand technical details or afford legal action. **Consumer protection** is the set of laws, institutions and activities that safeguard the interests of consumers against unfair, unsafe or dishonest practices by sellers. The movement to promote these interests is called **consumerism**.

Consumer rights

Internationally recognised rights, the basis for most national laws, include:

- the **right to safety**: protection against goods and services that endanger life or health;

- the **right to be informed**: accurate information on content, price, quality, expiry date and use, so that an informed choice can be made;
- the **right to choose**: access to a variety of goods at competitive prices;
- the **right to be heard**: to have complaints and views considered by sellers and government;
- the **right to redress**: compensation, repair or replacement for faulty goods or poor service;
- the **right to consumer education**, to learn to make wise choices;
- the **right to a healthy environment** and to the satisfaction of basic needs.

Problems faced by consumers

- **Fake and counterfeit products**, including drugs, cosmetics, spare parts and electronics, which can be dangerous.
- **Adulterated or substandard goods**: for example, food mixed with harmful substances, or palm oil mixed with dye.
- **False weights and measures**, such as under-filled bags, tampered scales or short measures of fuel.
- **Misleading advertisements** and false claims on labels.
- **Hoarding and artificial scarcity**, followed by price increases, and price gouging at times of shortage.
- **Unsafe or expired goods** being sold, and the dumping of unsafe products.
- **Poor after-sales service**: no repairs, no warranty, no refunds.
- **Illiteracy, ignorance and lack of organisation**, which prevent consumers from knowing or enforcing their rights.
- **Monopoly and unfair contract terms**, and online fraud in e-commerce.

Legal principles

The old rule of **caveat emptor** ("let the buyer beware") put the duty of checking goods on the buyer. Modern law has moved towards **caveat venditor** ("let the seller beware"). Under the Sale of Goods law, goods must correspond with their description, be of satisfactory (merchantable) quality and be fit for the purpose for which they are sold. If they are not, the buyer may reject them, claim a refund or claim damages. A **guarantee or warranty** promises that the seller will repair or replace goods that fail within a stated period.

Agencies and methods of consumer protection in Nigeria

- **The Federal Competition and Consumer Protection Commission (FCCPC),** established by the Federal Competition and Consumer Protection Act 2018 (which replaced the earlier Consumer Protection Council), enforces consumer rights, investigates complaints, bans unfair trade practices, prevents monopoly and restrictive agreements, and can order recall of unsafe products and impose penalties.
- **The National Agency for Food and Drug Administration and Control (NAFDAC)** regulates and controls the manufacture, importation, advertisement, sale and use of food, drugs, cosmetics, medical devices, packaged water and chemicals. Registered products carry a NAFDAC number; a product without one should be treated with suspicion.
- **The Standards Organisation of Nigeria (SON)** sets standards and tests goods, and operates quality marks such as the Mandatory Conformity Assessment Programme (MANCAP) for locally made goods and standards of imported goods.
- **The Weights and Measures Department** inspects and stamps scales, weighing machines, fuel pumps and measuring tools to ensure that goods are sold in correct quantity.
- **The National Drug Law Enforcement Agency (NDLEA)** controls narcotics, and the **Nigerian Communications Commission (NCC)** protects telecommunications subscribers.

- **Consumer associations,** such as the Consumers Association of Nigeria, educate the public, test products, report abuses and lobby government.
- **The courts** hear claims for breach of contract and damages, and the **media** publicise unsafe products and dishonest firms.
- **Self-help and trade bodies:** consumers can compare prices, read labels, keep receipts, report to the authorities and refuse to buy suspect goods; reputable firms set up customer care units, offer refunds and join trade associations that have codes of conduct.

A consumer who has a complaint should keep the receipt and the packaging, report the fault to the seller promptly, and if no satisfactory answer is given, write to the manufacturer and approach the FCCPC or the relevant agency, using the courts as a last resort.

9.7 Worked examples

WORKED EXAMPLE 9.1

A newspaper advertisement costs ₦240,000 and the paper has a circulation of 60,000. A magazine advertisement costs ₦150,000 and the magazine has a circulation of 25,000. Compare the cost per thousand readers (assuming one reader per copy).

Solution: Newspaper: (240,000 ÷ 60,000) × 1,000 = 4 × 1,000 = ₦4,000 per thousand. Magazine: (150,000 ÷ 25,000) × 1,000 = 6 × 1,000 = ₦6,000 per thousand. The newspaper is cheaper per thousand readers, although the magazine may reach a more suitable audience, so cost is not the only factor.

WORKED EXAMPLE 9.2

A Kano firm's monthly sales are ₦3,200,000 before an advertising campaign and ₦4,000,000 in the month of the campaign, which cost ₦300,000. The firm's gross profit margin is 30% of sales. (a) Find the percentage increase in sales. (b) Did the campaign pay for itself in that month?

Solution: (a) Increase = 4,000,000 − 3,200,000 = ₦800,000. Percentage increase = (800,000 ÷ 3,200,000) × 100 = 25%. (b) Extra gross profit = 30% × 800,000 = ₦240,000, which is less than the ₦300,000 spent. The campaign did not pay for itself in the first month (a loss of ₦60,000), although later months may still benefit from the lasting effect of the advertisement.

WORKED EXAMPLE 9.3

A company with annual sales of ₦75,000,000 sets its advertising budget at 4% of sales. It spends 40% of the budget on television, 25% on radio and the rest on social media. Find the amount spent on each.

Solution: Budget = 4% × 75,000,000 = 0.04 × 75,000,000 = ₦3,000,000. Television = 40% × 3,000,000 = ₦1,200,000. Radio = 25% × 3,000,000 = ₦750,000. Social media = (100 − 40 − 25)% = 35%, so 0.35 × 3,000,000 = ₦1,050,000. Check: 1,200,000 + 750,000 + 1,050,000 = ₦3,000,000.

WORKED EXAMPLE 9.4

A trader in Ibadan sells sugar in packs marked 1 kg at ₦2,400 per kg. An inspector finds that each of 50 packs actually contains only 900 g. How much sugar did customers fail to receive, and what is the value of the shortage? Name the body that would enforce the correct weights.

Solution: Shortage per pack = 1,000 − 900 = 100 g. For 50 packs the shortage is 50 × 100 = 5,000 g = 5 kg. Value = 5 × 2,400 = ₦12,000. The Weights and Measures Department (backed by the FCCPC) inspects and penalises such practices. The trader has also broken the consumer's right to be informed and to receive honest value.

WORKED EXAMPLE 9.5

Mrs Nwosu buys a bottle of syrup from a roadside kiosk. It carries no NAFDAC number and no expiry date, and her child becomes ill after using it. Which rights have been violated, and where should she report the matter?

Solution: Her rights to safety and to be informed (no expiry date, no registration) have been violated. She should keep the bottle and receipt, take the child for treatment, and report to NAFDAC, which regulates drugs, and to the FCCPC. The seller may face prosecution and the product may be withdrawn.

Exercise 9.1

1. Define advertising and state its three essential features.
2. Distinguish between informative and persuasive advertising.
3. State two advantages and two disadvantages of radio as an advertising medium.
4. A television advertisement costing ₦900,000 is seen by 1,500,000 viewers. Find the cost per thousand viewers.
5. List four factors that a firm considers in choosing an advertising medium.

6. A firm's sales rise from ₦5,000,000 to ₦6,500,000 after an advertising campaign. Calculate the percentage increase in sales.
7. Give two arguments for and two against advertising.
8. Define consumer protection and list four consumer rights.
9. State the roles of NAFDAC and SON.
10. Explain the difference between caveat emptor and caveat venditor.
11. A retailer's sack of rice is marked 50 kg but contains 47.5 kg. At ₦1,600 per kg, how much is the customer short-changed?
12. Name four problems faced by consumers in Nigeria.

Answers to Exercise 9.1

1. Advertising is paid, non-personal communication by an identified sponsor to inform or persuade. The features are that it is paid for, non-personal (through a medium) and has an identified sponsor.
2. Informative advertising gives facts about a new or changed product (features, price, outlets); persuasive advertising tries to convince buyers to prefer one brand over rivals.
3. Advantages (any two): cheap; reaches illiterate and rural audiences; wide coverage; local languages. Disadvantages (any two): no picture; message is fleeting; listeners may be distracted; no permanent record.
4. (900,000 ÷ 1,500,000) × 1,000 = 0.6 × 1,000 = ₦600 per thousand viewers.
5. Any four of: nature of the product; target audience; cost; coverage; the message; competitors' practice; legal restrictions.
6. Increase = 1,500,000; percentage = (1,500,000 ÷ 5,000,000) × 100 = 30%.
7. For: informs consumers; supports mass production and lower unit costs; creates jobs. Against: increases prices; may mislead or encourage unnecessary spending.
8. Consumer protection is the set of laws and institutions that safeguard consumers against unfair, unsafe or dishonest practices. Rights (any four): safety, information, choice, being heard, redress, consumer education.

9. NAFDAC regulates and controls food, drugs, cosmetics, water and chemicals; SON sets standards for products and tests them for quality.
10. Caveat emptor places the duty to check goods on the buyer; caveat venditor places responsibility on the seller to supply goods of satisfactory quality and fit for their purpose.
11. Shortage = 50 − 47.5 = 2.5 kg; 2.5 × 1,600 = ₦4,000.
12. Any four of: fake products; adulterated goods; false weights; misleading advertisements; hoarding and price exploitation; poor after-sales service; ignorance of rights.

Chapter summary

- Advertising is paid, non-personal communication by an identified sponsor; its aims are to inform, persuade, remind and raise sales and goodwill.
- Types include informative, persuasive, reminder, generic, institutional, classified and display advertising.
- The media are newspapers, magazines, radio, television, outdoor displays, cinema, direct mail, the internet and social media, and various others; the choice depends on the product, audience, cost, coverage and message.
- Cost per thousand = (cost ÷ number reached) × 1,000 is used to compare media.
- Advertising brings information, higher sales, lower unit cost, jobs and competition, but it adds to prices and may mislead; ARCON regulates the profession.
- Consumer rights include safety, information, choice, being heard, redress and education; consumers face fake goods, false weights, hoarding and misleading advertisements.

- Caveat venditor now governs sales; protective bodies include the FCCPC, NAFDAC, SON, the Weights and Measures Department, consumer associations, the courts and the press.